Global Rates Weekly

Hope springs eternal

In the US, economic resilience has led to a reassessment of the path of short rates beyond the cyclical horizon. In Europe, even as a deal in the Gulf conflict remains elusive, EUR rates continue to drift with hope. In Japan, our pension rebalancing model points to a shift from equities into bonds.

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Rates remain well above pre-war levels despite a recovery across most classes. We believe this reflects a shift in the market's view toward a more persistent inflation outlook. In addition, economic resilience has led to a reassessment of the path of the real policy rate beyond the cyclical horizon.

Front-end TIPS have continued to perform well since the Iran war started, despite the market pricing in a higher rate path. Mortgage payments and CPI rents are intuitively correlated via the demand channel. 30y breakevens have not actually underperformed on a beta-adjusted basis in May.

How the Fed might shrink its balance sheet is taking center stage for market plumbing. But it is still adding assets via RMPs. We think the flatter reserve demand curve argues for a balance sheet on hold. Longer-term, we see continuity of the ample regime as Fed speakers show strong support.

Rates markets have stabilized, but given signs of an Iran deal, and with elevated hike probabilities still embedded in options, we initiate a 6m1y ratio payer spread. Swap spreads are benefiting from benign funding and the risk-on move, but the poor fiscal outlook will likely weigh on the long end.

United States: Interest Rates

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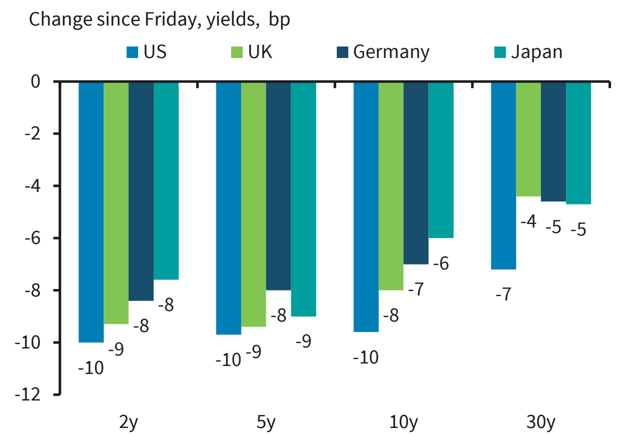
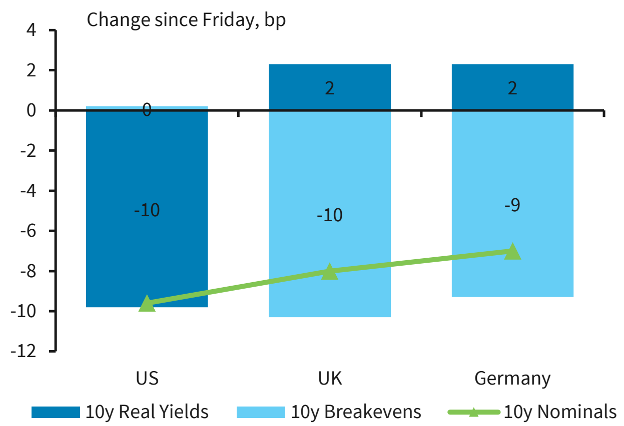
US Treasury yields fell over the week led by the front to intermediate sector amid rising hopes about a resolution to the Iran War. News report indicated that a deal may have been reached pending approval from President Trump [1] . Figure 1 shows that 2-10y yields have fallen 10bp and the 5s30s curve steepened by 3bp since last Friday. Oil prices have fallen about 10% and across the Atlantic, inflation breakevens tightened sharply given greater sensitivity to energy prices (Figure 2). Risk assets were up over the week and credit spreads tightened as the underlying economy remains resilient and investors are hopeful of a resolution.

FIGURE 1. **Global bond yields fell over the last week amid optimism about the Iran war**



Source: Bloomberg, Barclays Research

FIGURE 2. **Real yields fell in the US, and breakevens tightened elsewhere**



Source: Bloomberg, Barclays Research

Taking stock amid ongoing ceasefire

Figure 3 shows where different asset classes stand as of now versus the March extremes when the ceasefire was announced and pre-war levels. Most measures of risk premium and volatility—including oil vol—have fallen sharply to below pre-war levels.

Rates have stabilized well above pre-war levels. **Why? We believe this mainly reflects the markets pricing in a more persistent inflation outlook.** 1y1y CPI swaps have risen from 2.3%

[1] https://www.axios.com/2026/05/28/iran-peace-deal-trump-approval

pre-war to 2.65%. Excluding the contribution from energy (using the forward curve), 1y1y CPI swaps have risen from 2.4% to 2.85%. Usually PCE inflation runs below CPI inflation but with downward pressure on inflation skewed towards shelter and upward pressure skewed towards goods categories sensitive to AI demand, the wedge between PCE and CPI has flipped.

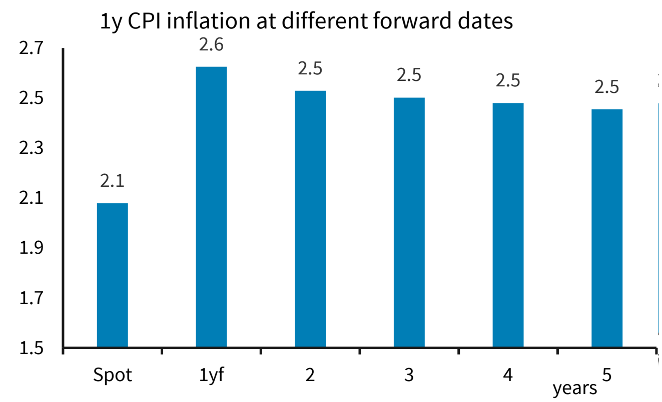
With core inflation priced to be well above target and the labor market having stabilized, markets are pricing in a more restrictive policy path (pending any indication from Warsh on changes in the Fed's reaction function). Figure 4 and 5 show that in this context, 1y1y real rates at 1.3% do not look high. Hence, **in our view, a trade for an eventual Iran war resolution is better expressed as shorting 1y1y TIPS breakevens than receiving the nominal rate given elevated inflation risk premium**.

FIGURE 3. **A new regime for rate levels**

	2/27 Level	March Extremes	Latest	Change since March peak/trough	% Reversal
2y yield (%)	3.37	3.99	4.02	3	-5%
5y yield (%)	3.50	4.09	4.15	6	-10%
10y yield (%)	3.94	4.43	4.45	2	-4%
30y yield (%)	4.61	4.96	4.98	1	-4%
S&P 500	6,879	6,344	7,564	19%	228%
CDX IG	56	68	51	-17	142%
CL1 ($/bl)	67	103	89	-14	38%
CLZ6 ($/bl)	64	79	80	1	-7%
1y inflation swap (%)	2.51	3.36	2.98	-39	46%
1y1y inflation swap (%)	2.33	2.51	2.66	15	-79%
5y5y inflation swap (%)	2.40	2.31	2.44	13	146%
2y swap spread (bp)	-17	-19	-15	4	213%
30y swap spread (bp)	-73	-84	-73	11	103%
BBDXY Index	1,187	1,222	1,200	-2%	65%
Oil vol	65	121	58	-63	111%
VIX	20	31	16	-15	138%
1m2y rates vol (bp/y)	78	138	85	-52	87%
FX Vol	7.3	8.7	6.5	-2	153%

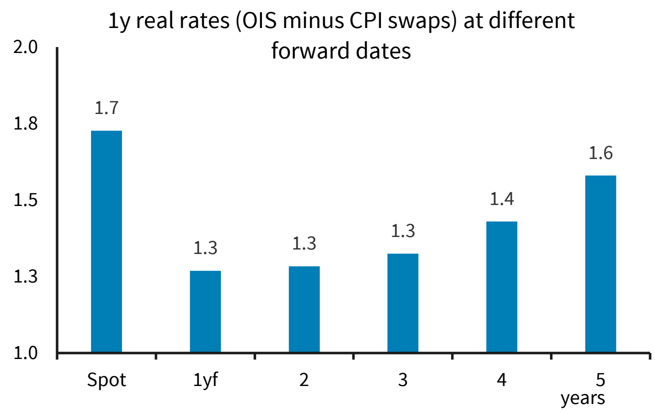
Source: Bloomberg, Barclays Research

FIGURE 4. Inflation is priced to stay high, even as energy prices are forecast to come down



Using fixings
Source: Bloomberg, Barclays Research

FIGURE 5. As a result, real rates are priced to remain somewhat above the Fed's estimate of neutral

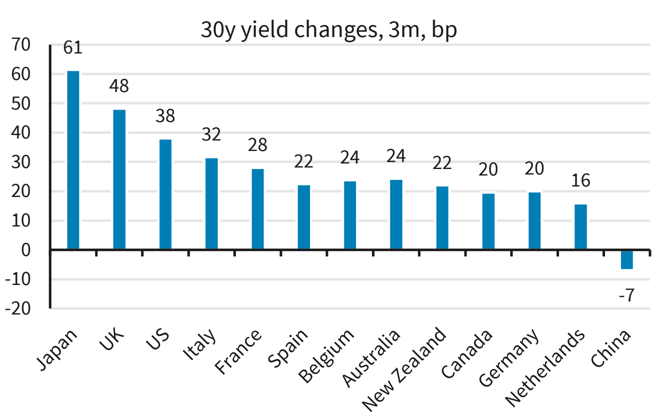


Source: Bloomberg, Barclays Research

Further out the curve, long-term yields have also moved higher than before the war. 30y yields have risen by about 40bp to about 5%; other developed markets have sold off as well to varying degrees (Figure 6).

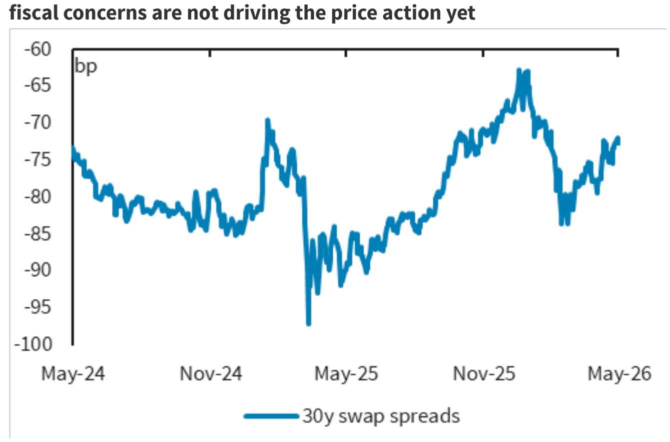
Interestingly, despite the worsening fiscal narrative in recent weeks, 30y swap spreads in the US have actually widened, from -84bp at the March extremes to -73bp now (Figure 7). They are roughly unchanged from before the war started and the entire move since then has been a rate sell-off. This in sharp contrast to the "Liberation day" move, when the "Sell America" theme did translate to a tightening of swap spreads, suggesting that concerns about supply-demand imbalance in the Treasury market were indeed at play back then. Figure 8 shows that 30y swap spreads have tightened in some regions, such as in France, where there indeed has been a pick-up in political and fiscal uncertainty.

FIGURE 6. 30y yields have risen globally...



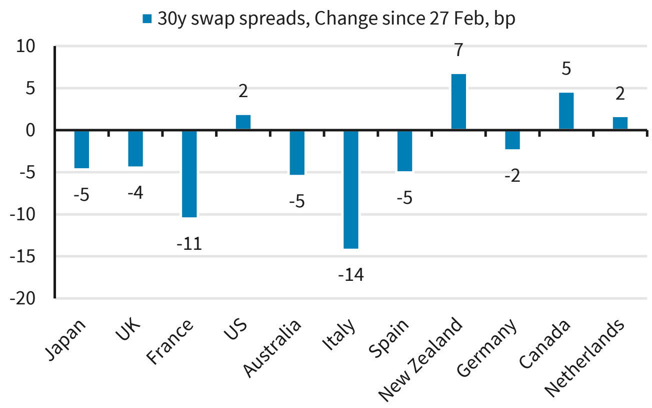
Source: Bloomberg, Barclays Research

FIGURE 7. In the US, 30y swap spreads have widened, suggesting fiscal concerns are not driving the price action yet



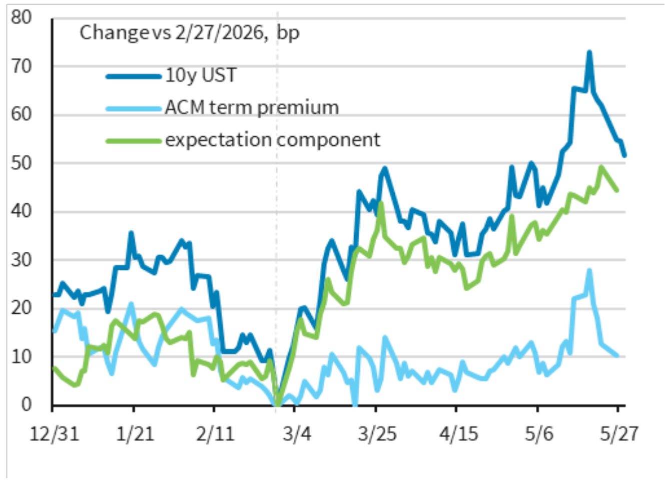
Source: Bloomberg, Barclays Research

FIGURE 8. Globally, where fiscal concerns have been at the forefront, 30y swap spreads have tightened



Source: Bloomberg, Barclays Research

FIGURE 9. The rise in 10y yields has largely been driven by expectations



Source: Bloomberg, Barclays Research

In fact, a breakdown of the moves in 10y UST yields into expectations and term premium components suggests that the former have been a bigger driver on net. Figure 9 shows that **of the 50bp move higher in 10y yields since the war started, only 10bp is due to term premium—rest is due to the higher expected path of short rates.** The same is true looking at 5yf yields, so it is not just about the market pricing in more restrictive policy due to higher inflation in the near term, but also about reassessing the medium-term outlook for short rates. With 5y5y CPI swaps stable, the move has been driven by real rates .

In the US, there is indeed a strong case for reassessing the neutral rate higher given the performance of the US economy.

Figure 10 shows that the US economy continues to grow at a robust pace. Over the four quarters ending Q1 26, it has grown at 2.6% and using Atlanta Fed's estimate for Q2 26, likely the same run-rate. Over the same period, hours worked have risen just 0.4%. If the recent productivity gains turn out to be sustainable, long-term real rates should be higher [2]. Separately, labor markets have stabilized, if anything they have strengthened a touch; for instance, continuing claims have fallen faster this year, unwinding the worsening seen in 2025. Our first factor of a PCA of a range of labor market variables has also moved higher from the lows (Figure 11 and 12). Finally, underlying inflation as measured by trimmed mean PCE, seems to be stalling somewhat above the target (Figure 13).

All of the above leads one to question the Fed's prevailing view that the fed funds rate at 3.5-3.75% is restrictive and that the long-term neutral rate is around 3.1%. [3] Hence, markets are rightly assessing the neutral rate higher, in our view.

In the near term, a resolution to the Iran war is likely to pull yields lower, but should the curve not steepen in the backdrop, it could be an attractive entry point to pay far forward rates.

[2] https://www.newyorkfed.org/newsevents/speeches/2026/wil260528

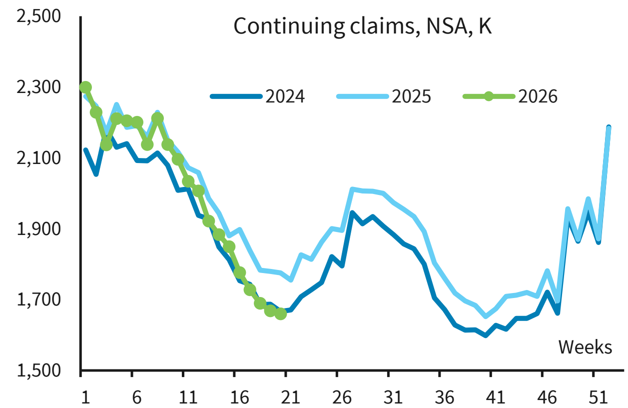
[3] **https://www.federalreserve.gov/monetarypolicy/files/fomcprojtabl20260318.pdf**

FIGURE 10. Real GDP has grown at 2.6% over the last year despite tepid employment growth

Real GDP growth, 4Q MA	2024 Q1	2025 Q1	2026 Q1	2026 Q2 Atlanta Fed Estimate
Personal Consumption	1.6	2.1	1.6	1.6
Non-Residential FI	0.7	0.4	0.8	0.7
Residential FI	0.2	0.0	-0.2	-0.1
Government	0.7	0.5	0.0	0.1
Net Exports	-0.2	-1.5	1.2	0.0
Change in inventories	-0.1	0.7	-0.8	0.2
Private Domestic Final Sales	2.5	2.4	2.1	2.2
Total	**2.9**	**2.1**	**2.6**	**2.6**

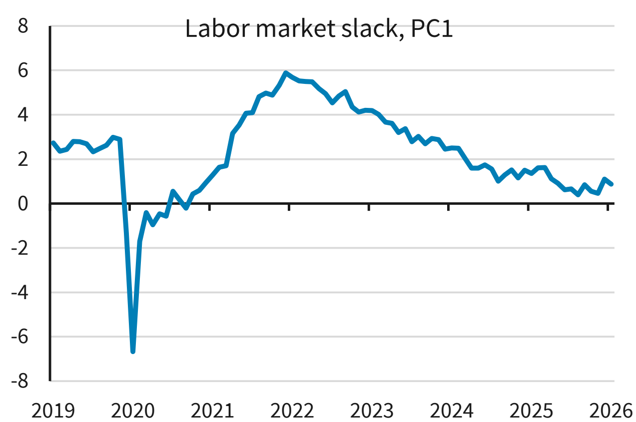
Contributions shown
Source: Haver Analytics, Barclays Research

FIGURE 11. Continuing claims have fallen



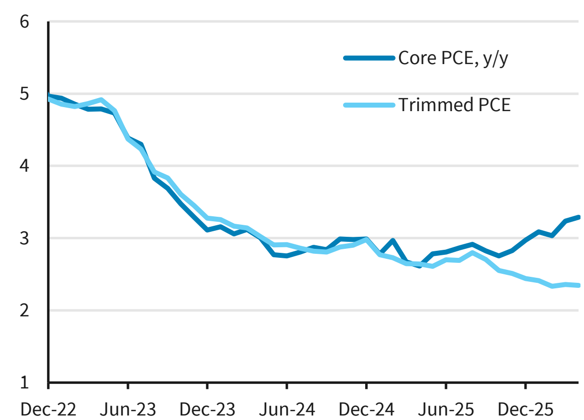
Source: Bloomberg, Barclays Research

FIGURE 12. Aggregate labor market has stabilized to strengthened a touch



Source: Bloomberg, Barclays Research

FIGURE 13. Underlying inflation also seems to be stalling above 2%



Source: Macrobond, Barclays Research

What if the Fed hikes?

In a recent report, we take a deep dive into the cross-market implications of the Fed actually hiking rates (see here). We argue that the rates market reaction to Fed hikes would depend on the macro backdrop. The inflation and growth outlooks determine how much tightening the market can price and how the move transmits across the curve. Figure 14 outlines the range of potential policy paths, from renewed hikes to an extended hold to a return to easing, and Figure 15 maps these into yield levels and curve shapes.

At the front end, the response would be largely mechanical: the magnitude of hikes dominates. We estimate that 50bp and 100bp of tightening starting later in the year would lift 2y yields to about 4.4% and 5.0%, respectively, by year-end. The latter is significantly higher than current forwards. Conversely, a resumption of easing or a shallow recession would drive the sharpest decline in front-end rates.

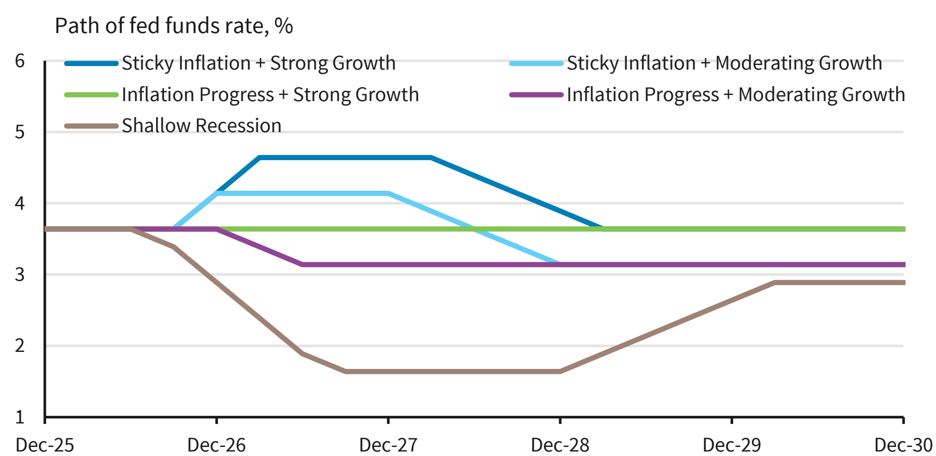
Further out the curve, the growth signal becomes more decisive. If labor markets are stable and hikes are delivered into slowing activity, the intermediate sector and the long end would likely still rally as markets re-anchor trend growth and the neutral rate at lower levels, resulting in a flatter yield curve. In contrast, continued economic resilience would push long-end yields higher, even absent further hikes, as estimates of the neutral rate would be revised upward, resulting in a steepening of the yield curve.

Fiscal dynamics introduce an important asymmetry at the long end. Higher policy rates raise debt-servicing costs, adding to the fiscal risk premium and limiting the extent of long-end curve flattening in hiking scenarios. This comes atop an already deteriorating primary deficit due to lower tariff revenues and likely higher defense spending (see Supply pays the bill). Far forward inflation swaps are well anchored but any slippage in that perception would add to upside risk to 30y yields.

We see limited attractiveness at the long end at current levels: 30y yields near 5% do not screen as particularly attractive, and could extend higher in a strong-growth regime.

While the yield curve in the near term is held hostage to the Iran war developments, 5s30s yield curve steepeners provide an asymmetry absent a hike being perceived as a policy mistake.

FIGURE 14. **Scenarios for the path of the fed funds rate**



Source: Barclays Research

FIGURE 15. Scenarios for yield levels

		Renewed Hikes		On Hold	Renewed Cuts	
UST yield levels, YE-26	Market (Fwd to YE-26)	Sticky Inflation + Strong Growth	Sticky Inflation + Moderating Growth	Inflation Progress + Strong Growth	Inflation Progress + Moderating Growth	Shallow Recession
2y	4.15	4.96	4.36	3.94	3.45	2.03
5y	4.26	4.80	4.11	4.24	3.61	2.60
10y	4.52	4.87	4.14	4.59	3.92	3.23
30y	5.02	5.49	4.63	5.37	4.59	4.15
2s10s	0.37	-0.09	-0.22	0.65	0.46	1.19
2s30s	0.88	0.53	0.27	1.43	1.14	2.11
5s30s	0.77	0.69	0.52	1.13	0.98	1.55

Source: Barclays Research

Market Views

Duration

- Rates remain well above pre-war levels despite a recovery across most classes. We believe this reflects a shift in the market's view towards a more persistent inflation outlook. In addition, economic resilience has led to a reassessment of the expected path of the real policy rate beyond the cyclical horizon.

- We are neutral on duration. In the near term, progress on a resolution to the Iran war is likely to pull yields lower, but should the curve not steepen in the backdrop, it could provide an attractive entry point to pay far forward rates.

Curve/curvature

- We maintain our 5s30s Treasury curve-steepener recommendation, as the long end should capture the higher neutral rate as well as term premium as it relates to fiscal worsening.

Inflation

- We maintain energy-hedged longs in the TIIJan27 breakeven, which reflects a meaningful negative inflation risk premium versus what is implied by Barclays' CPI forecast.

- We maintain shorting the 1y1y breakeven (TIIApr27/TIIApr28), given elevated implied ex-energy valuations, despite little evidence of wage pressures and the ongoing drag of shelter disinflation.

- We maintain being long 5y TIPS for fundamental reasons, despite elevated front-end TIPS volumes having stretched some forward breakeven valuations and tightened front-end iotas.

Money markets

- The reserve demand curve has flattened as bank intermediation capacity has expanded. Even though funding markets firmed this week, we still think this argues for the Fed to hold the balance sheet steady, at least for now.

- With RMPs potentially on hold, heavier T-bill issuance needs starting in July and the TGA approaching the $1tn level, funding markets should be firmer this summer.

Swap spreads

- We maintain our preference for belly spreads and continue to recommend beta-weighted 2s7s spread curve steepeners.
- We maintain being long the 10s20s30s ASW fly, as the 20y sector looks cheap and has lagged the move lower in vol.

Volatility

- We initiate a 1x1.5 6m1y payer spread to benefit from options embedding high probabilities for aggressive hikes.
- We maintain short 2y1y vol vs long 2y10y vol given the vulnerability of the belly of the curve to a convexity repricing.
- We maintain our recommendation to be long bottom right forward vol through option triangles.

United States: Inflation Markets

Performance matters

Front-end TIPS have continued to perform well since the Iran war started, despite the market pricing in a higher rate path. Mortgage payments and CPI rents are intuitively correlated via the demand channel. 30y breakevens have not actually underperformed on a beta-adjusted basis in May.

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This week, we address three topics:

1. Whether **front-end TIPS have continued to outperform** the rest of the US Treasury market since the beginning of the Iran war, even as the market has pivoted towards pricing hikes.
2. With mortgage rates at multi-month highs, we look at whether there is **informational content in mortgage rates/payments for CPI rents**. We find an intuitive correlation via the demand channel, and that upside risk via higher mortgage rates could be offset by modest home price growth.
3. Given the sharp sell-off in global duration during the month of May, we argue that **30y breakevens have not actually underperformed on a beta-adjusted basis**, if one calibrates beta since 2023.

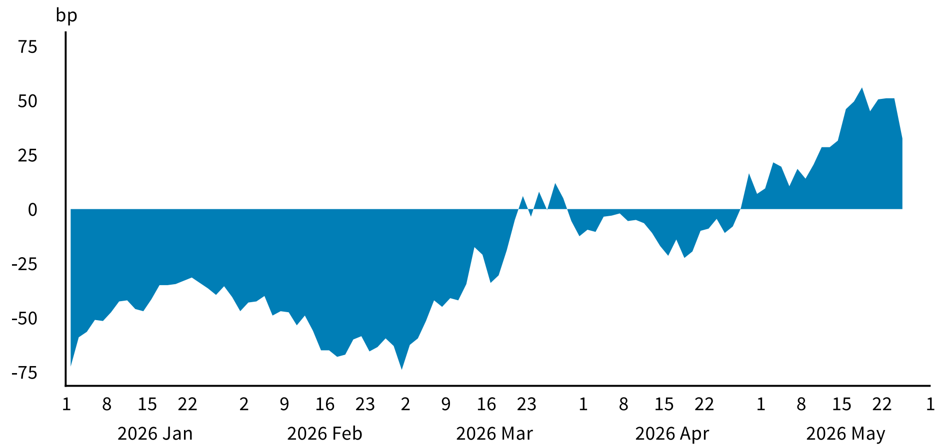
Front-end TIPS have performed well since the Iran war started

TIPS are still Treasuries, too

Last month, we showed that front-end TIPS had outperformed other components of the nominal and TIPS universe, at least when compared to the aggregate UST and TIPS indices, as well as when broken down by maturity bucket (TIPS are Treasuries, too, April 16, 2026). At the time, we noted that "as long as the environment persists of strong realized inflation, a Fed on hold with a rate cut bias, and the risk of a term premium shock, front-end TIPS offer an attractive risk/reward proposition." That thinking has proven only partially prescient given the recent sell-off in duration, but market pricing has shifted sharply from a cut bias towards hikes, undercutting part of the value proposition (Figure 1).

This prompts the question: how have front-end TIPS performed since the Iran war started, given the market has priced in hikes? Quite well, actually.

FIGURE 1. Market pricing for hikes (+)/cuts (-) by June 2027

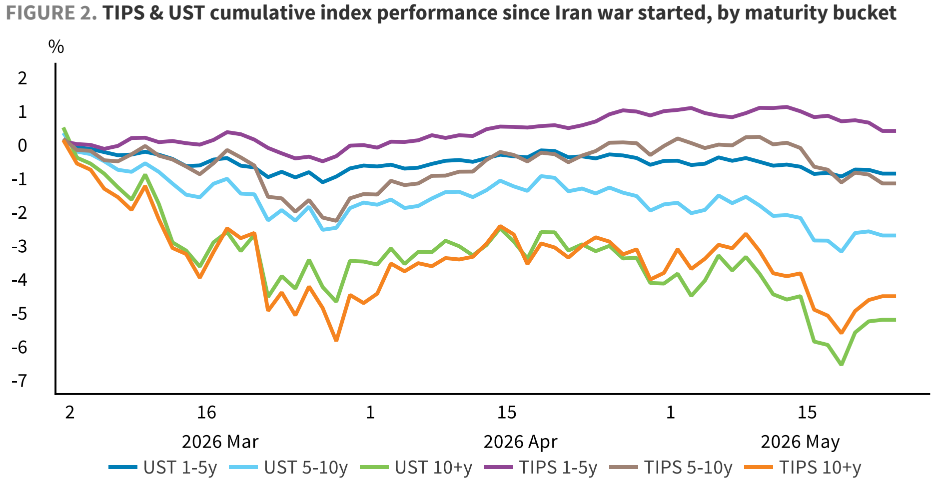


Calculated as the basis point difference between the implied yield on Jun27 3m SOFR futures less spot SOFR.
Source: FRBNY, CME, Macrobond, Barclays Research

We can see this by running a similar analysis, looking at cumulative performance of TIPS and nominal USTs by maturity bucket since the Iran conflict began (Figure 2). We find that front-end TIPS have arguably remained the most compelling component of the Treasury market since the beginning of March. However, although front-end breakevens have widened sharply (5y inflation swaps even briefly breached 2.8%, up from sub-2.4% at the end of February), the repricing of policy expectations/higher real yield path provided a partial offset.

Moreover, the very strong carry profile in May helped offset the optical rise in front-end real yields. For example, although 5y real yields outright are up more than 30bp month-to-date, the majority of that is composed of carry, so carry-adjusted performance is notably less negative. Indeed, our recommendation to be long 5y real yields (entered back in early February when the TIIOct30 was the on-the-run 5y) is currently tracking close to flat P&L, and we continue to recommend the position.

FIGURE 2. TIPS & UST cumulative index performance since Iran war started, by maturity bucket



Source: Bloomberg, Macrobond, Barclays Research

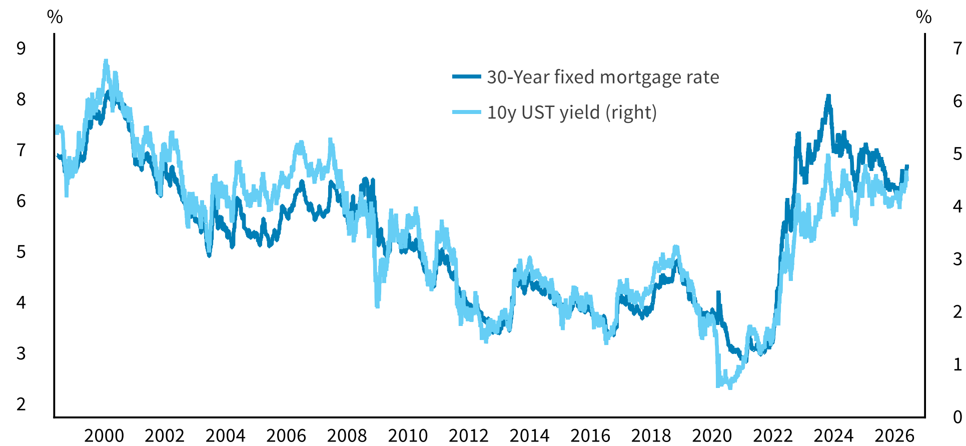
Mortgage payments & CPI rents

Demand channel correlations

The recent sell-off in duration that sent 10y UST yields (temporarily) above 4.5% has unsurprisingly pushed mortgage rates higher in the US (Figure 3). Per Bankrate, 30y mortgage rates have jumped above 6.6% to the highest levels since August 2025, up 50-60bp from the early March lows. This is likely unwelcome news for members of the administration who remain focused on affordability dynamics (discussed earlier this year in more depth in To lower mortgage rates, think Treasuries, January 13, 2026).

This development got us thinking: do higher mortgage rates presage higher rent prices?

FIGURE 3. 30y mortgage rates vs 10y USTs



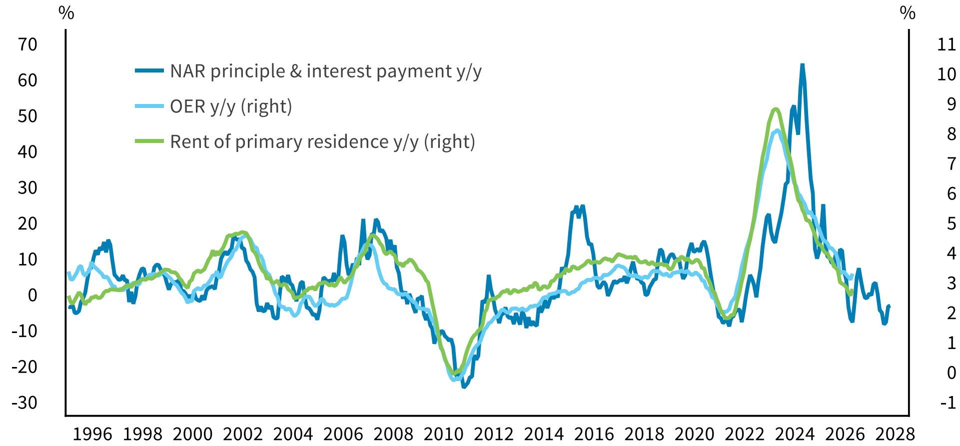
Source: Bankrate, Bloomberg, Barclays Research

Intuitively, the channel seems straightforward via demand dynamics. Households choosing between renting and buying likely compare the monthly mortgage cost (which is partly a function of the mortgage rate, as well as home prices) with monthly rental costs, and therefore shifts higher in mortgage payments could entice additional rental demand (and thus higher prices), and vice versa.

Therefore, it is unsurprising that we see a decent correlation between mortgage payment growth and growth in CPI OER and rent of primary residence. Somewhat interestingly, however, is the lag structure. Using 1995-2020 as a sample period, we find that mortgage payment growth leads CPI rents by c.18m. Plotting this dynamic makes the point that current mortgage payments presage additional disinflation in CPI rents, as is our base case (Figure 4; shelter outlook discussed in more detail in Shelter from the geopolitical storm, April 23, 2026).

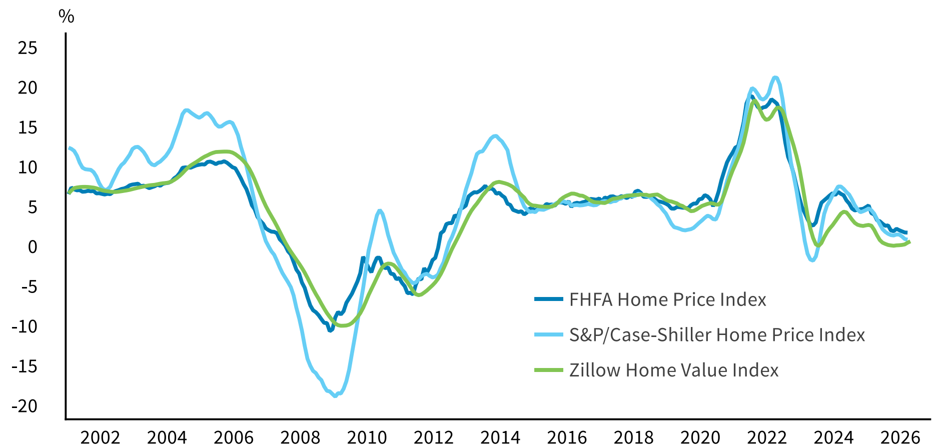
As such, all else equal, high mortgage rates presage higher rent growth, but, of course, all else is not equal. Specifically, house price growth has slowed to 1.7% y/y (FHFA), 0.8% y/y (S&P/Case-Shiller), and 0.6% (Zillow), compared with an average of 5-6% back in 2015-2019 (Figure 5). The key point here is that even if mortgage rates rise, it is the actual mortgage payment that correlates better with rents, and low price growth could provide an offset, limiting upside growth to monthly payments. Put together, while this is a potential space to watch in shelter inflation, for now it is not one that meaningfully changes the risk profile.

FIGURE 4. Mortgage payments vs CPI OER and RPR y/y



Source: NAR, BLS, Macrobond, Barclays Research

FIGURE 5. US home price indices y/y



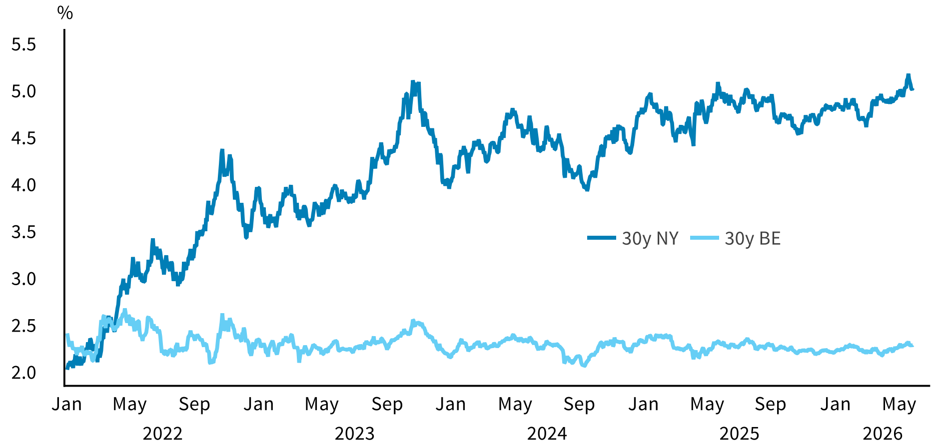
Source: FHFA, S&P, Zillow, Macrobond, Barclays Research

30y TIPS have not really underperformed in May

As a final point this week, we wanted to comment on the performance of the back end in the recent sell-off in duration. As we noted last week, the rise in long-end yields is primarily a real yield story, with 30y breakevens still (just) below 2.30% at time of writing (Thinking Macro: This is a real story, May 21, 2026) (Figure 6). Intuitively, then, one would be forgiven for thinking that 30y TIPS/breakevens have underperformed during the month of May on the duration move; reality, though, at least on a beta-adjusted basis, is more complicated.

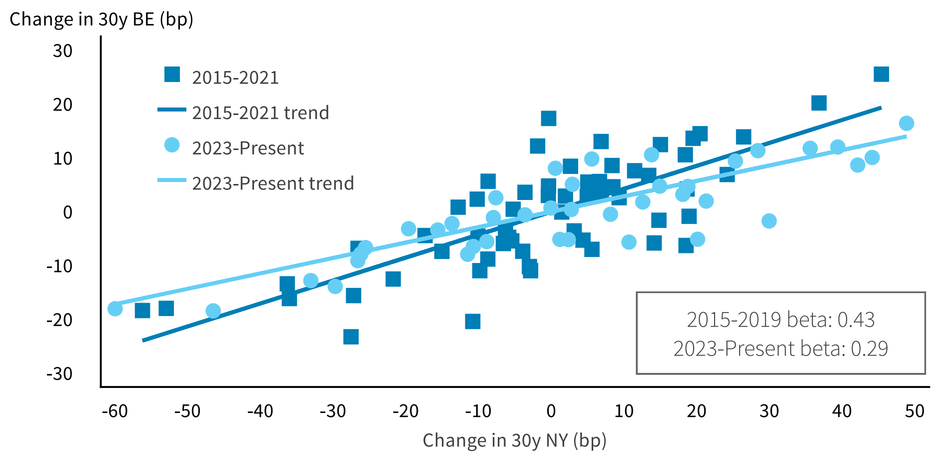
For context, in recent years, the realized/empirical beta between 30y nominal yields and 30y breakevens has declined; in essence, more and more of the move can be explained by changes in real yields, rather than breakevens. To see this, we regress month-on-month changes in 30y breakevens on changes in 30y nominal yields. The resulting coefficient (ie the beta) has dropped from more than 0.4 if measured in the pre-COVID years, to below 0.3 since 2023 (Figure 7). As such, from an empirical lens, we should expect breakevens to widen less than previously for a given change in long-end nominal yields.

FIGURE 6. The entire increase in 30y nominal yields since 2022 has been in real yields



Source: Bloomberg, Macrobond, Barclays Research

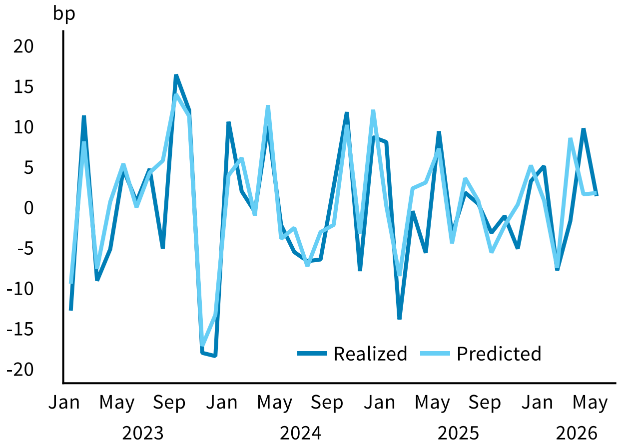
FIGURE 7. The empirical beta between 30y NY/BE has declined in recent years



Source: Bloomberg, Macrobond, Barclays Research

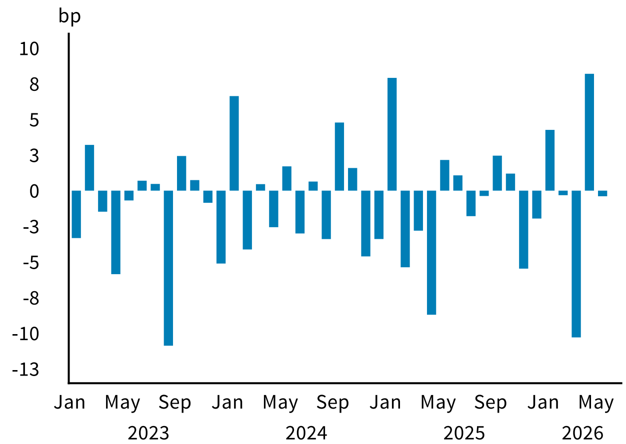
In terms of May's performance specifically, 30y breakevens have on net performed quite close to what would be predicted based on the realized beta since 2023 (Figure 8). One nuance we would offer, by contrast, is that 30y breakevens underperformed notably in March, only to outperform meaningfully in April (Figure 9). On that point, since 2023, each time that 30y BEs have underperformed on a beta-adjusted basis by more than 8bp in a month (Aug 2023, Apr 2025, and Mar 2026), 30y BEs outperformed the next month. Something to keep in mind for the next episode.

FIGURE 8. 30y BE m/m change vs. predicted



Source: Bloomberg, Macrobond, Barclays Research

FIGURE 9. 30y BE m/m change vs. predicted residuals



Source: Bloomberg, Macrobond, Barclays Research

United States: Money Markets

To grow? Or to shrink?

How the Fed might shrink its balance sheet is taking center stage for market plumbing. But it is still adding assets via RMPs. We think the flatter reserve demand curve argues for a balance sheet on hold. Longer-term, we see continuity of the ample regime as Fed speakers show strong support.

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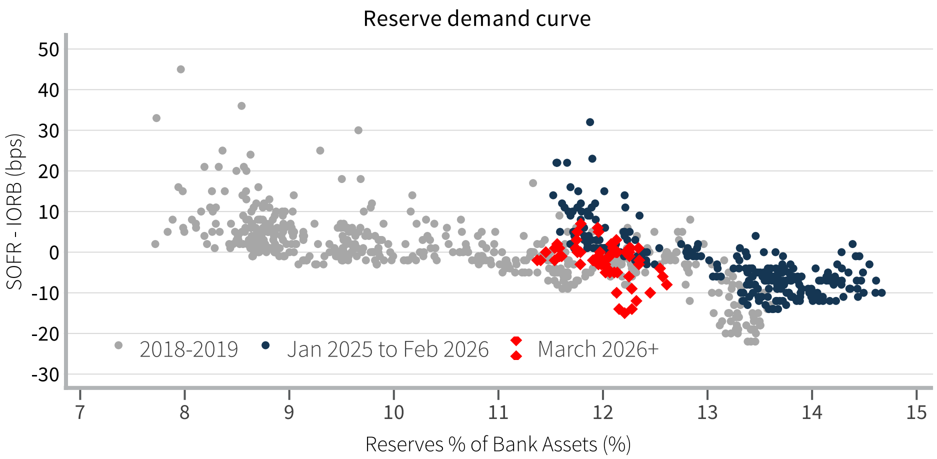
Over the past week, the Fed's balance sheet remained a central focus for both investors and policymakers. We previously flagged comments from SOMA Manager Perli on the potential to adjust RMP purchases in either direction and, if necessary, to return to QT should reserve demand decline materially (see here). While Perli's remarks were framed in the context of changes to liquidity supervision and regulation—potentially allowing banks to shift out of reserves and into other high-quality liquid assets such as Treasuries—we think the reserve demand curve has already flattened as bank intermediation capacity has expanded. That argues for the Fed to hold the balance sheet steady, at least for now.

Although repo rates have firmed in recent days—likely reflecting bill settlements, GSE cash outflows, and typical month-end pressures—reserve demand still appears much flatter than in Q4 of last year. As a result, the Fed has not yet had a clear read on the inflection point where demand steepens at lower reserve levels. Figure 1 illustrates this shift. Since March 1, reserves have declined to around 11% of bank assets (red dots), yet SOFR has remained broadly in line with IORB. By contrast, in October and November of last year, similar reserve levels saw SOFR print 10–30bp above IORB. This suggests the Fed will need to rediscover where the steep portion of the reserve demand curve now lies, particularly as SLR reform has likely increased intermediation capacity.

FIGURE 1. Reserve demand has flattened



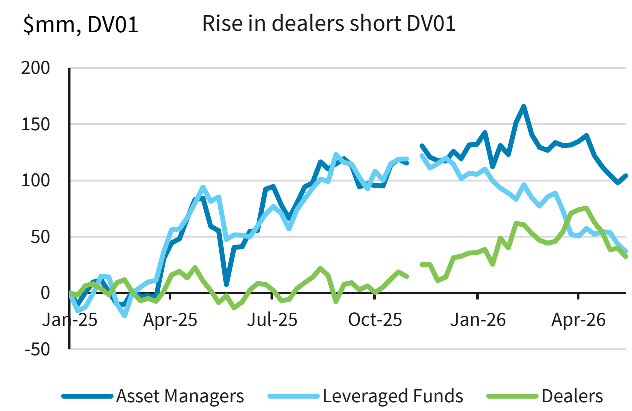
Source: Federal Reserve, Barclays Research

Leverage demand also appears to have declined—Treasury futures net shorts, for example, have fallen since early this year—helping to ease funding pressures. In our view, this partly reflects a consequence of SLR relief. Dealers are increasingly providing incremental long futures exposure to asset managers as they hedge UST inventories (Figure 2). While economically similar to a basis trade, this activity can compress spreads more, as it is not primarily driven by PnL capture. At the same time, asset managers have reduced net longs. Together, these dynamics are likely contributing to softer funding conditions, and may prove durable given their basis-compressing effects.

Shrink the balance sheet in order to operate a large one?

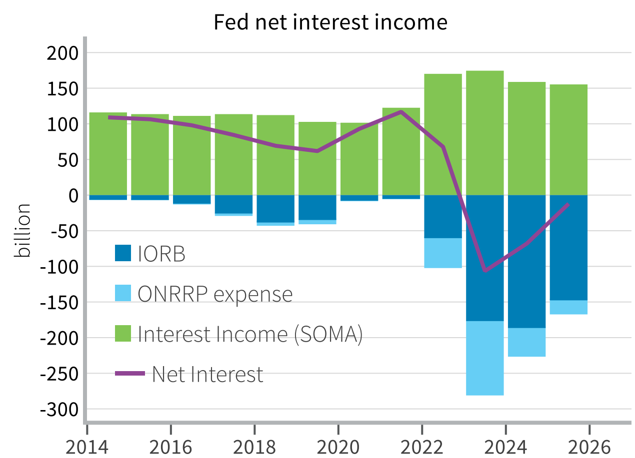
Amid the broader debate over how the Fed should shrink its balance sheet—particularly as Chair Warsh takes office—it is easy to overlook that the Fed is still expanding assets via RMP T-bill purchases. The apparent disconnect—discussing balance sheet reduction while still adding assets—likely reflects the views of the majority, though not all, of the Committee: a desire to keep reserves firmly in ample territory, while also acknowledging the need to reduce the balance sheet over time.

FIGURE 2. **Dealers are increasingly providing incremental long futures.**



Source: CFTC, Bloomberg, Barclays Research

FIGURE 3. **Fed accumulated losses at a particularly sensitive fiscal moment**



Source: Federal Reserve, Barclays Research

That latter objective is driven in part by the negative optics that have emerged post-COVID, including the inflation shock and the accumulated losses in recent years, as deficits have expanded and the Fed is no longer remitting income to the Treasury at a particularly sensitive fiscal moment (Figure 3). The losses are particularly sensitive because interest expenses are often viewed in isolation, making IORB appear especially costly. That perception has drawn increased scrutiny over the past year, with lawmakers at times threatening to curtail the Fed's ability to pay IORB—an authority that is critical to exercising smooth rate control (see here). In other words, the Fed may need to shrink the balance sheet in order to preserve its ability to operate a large one.

Governor Waller weighed in on balance sheet reduction late last week. While market attention focused on Waller's shift away from an easing bias, his Q&A remarks were notable for suggesting the Fed could reduce reserves by $300–500bn.

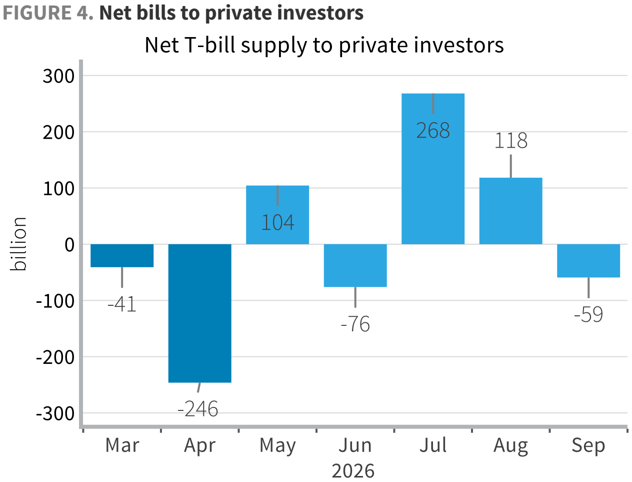
> "That's why I say if you could lower demand and make it still ample and safe and secure, plenty of

liquidity in the system, then we can certainly reduce the balance sheet." -- Fed Governor Waller

Importantly, this was framed as an estimate contingent on reducing banks' demand for reserves, likely through supervisory and regulatory changes. Waller reiterated that reserve scarcity is undesirable, emphasizing that he "strongly believe[s] we do not want to go back to a scarce reserves world." He also outlined the sequencing: first shift the demand curve left, then reduce supply. This approach preserves ample reserves and implies that easier funding conditions would precede any further balance sheet reduction, rather than the reverse, which would risk renewed repo market stress.

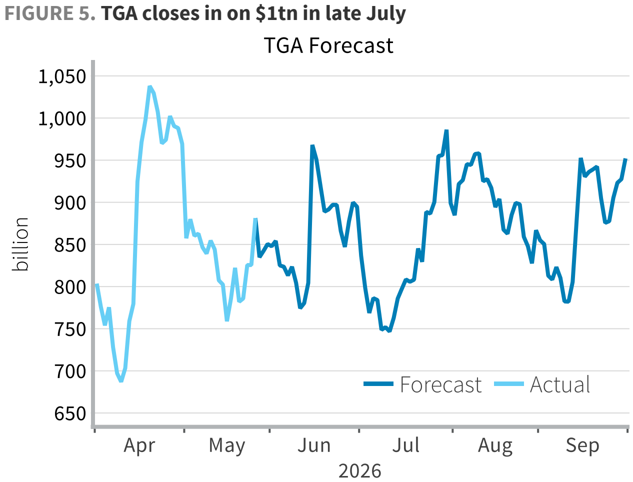
Overall, his remarks reinforce our view that the primary channel for shrinking the balance sheet will be through lowering banks' reserve demand—alongside shortening the portfolio WAM—rather than pushing reserves up the demand curve. For funding markets, this underscores continued strong support within the FOMC for maintaining an ample reserves regime and avoiding policies that would force reserves into the steep portion of the demand curve.

FIGURE 4. Net bills to private investors



Source: US Treasury, Barclays Research

FIGURE 5. TGA closes in on $1tn in late July



Source: US Treasury, Barclays Research

Bill supply cuts

Treasury was active this week cutting bill auction sizes as it reduces outstanding supply ahead of the mid-month coupon settlements and corporate tax date. All told, we estimate bill supply to private investors will decline by roughly $75bn over June. With the TGA expected to draw down over the next two weeks, funding markets could soften again after the month-end turn.

This July, however, will see bill supply ramp back up as the TGA rebuilds toward the $1tn level (Figure 4 and Figure 5). This is a key dynamic we are watching to further assess the reserve demand curve, as it will combine lower reserve levels with increased bill supply. Should policymakers need further convincing that the demand curve has flattened, this will be a key test. That backdrop represents an important risk to our view that the Fed will taper RMPs to zero starting next month.

Derivatives Strategy

Back in the range, but for how long?

Rates markets have stabilized, but given signs of an Iran deal, and with elevated hike probabilities still embedded in options, we initiate a 6m1y ratio payer spread. Swap spreads are benefiting from benign funding and the risk-on move, but the poor fiscal outlook will likely weigh on the long end.

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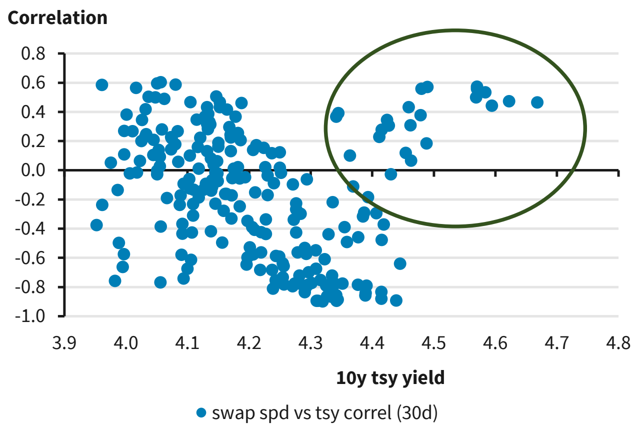
Options: Back in the range, but for how long?

Key trades

- Initiate a 1x1.5 6m1y payer spread, as we think too much hike risk has come to be priced in; even if the Fed were to hike, the number of hikes is likely to remain capped.
- Maintain short 2y1y vol vs. 2y10y vol through straddles, as intermediate vols are likely to be supported because of end-user hedging needs.
- Maintain a 10y5y + 15y10y vs 10y15y USD option triangle, given that recent moves have again shown the diversification benefits of bottom-right vols and fiscal worries are likely to emerge again.
- Maintain 1y1y payer ladder in EUR, as we think aggressive hikes are unlikely.

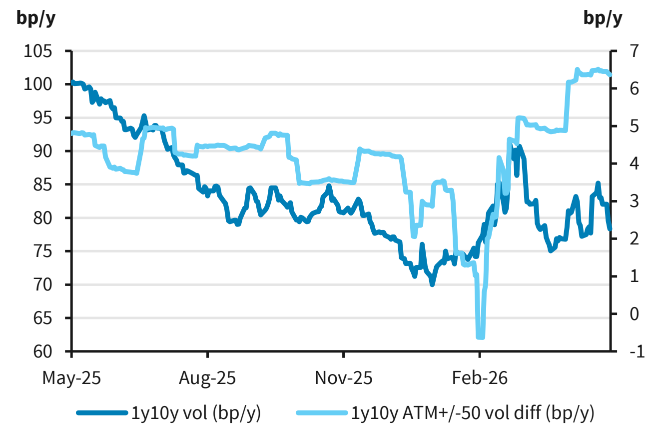
Vol markets have stabilized as rates have retreated back to the broad range where they had been trading for the past year. Fears of mortgage convexity hedging that were driving the derivatives complex were related to correlated increases in rates, implied volatility and swap spreads being directional with spreads once 10y Treasury yields rose above 4.4%. These immediate fears have faded for now, although payer skew across the surface remains elevated relative to the past few years, suggesting that there is continued demand for protection against a rates selloff (Figure 2).

FIGURE 1. Correlation between swap spreads and Treasury yields turned positive at yields above 4.4%



Source: Barclays Research

FIGURE 2. Vols have come off, but payer skew remains elevated, suggesting there is demand for protection against higher rates

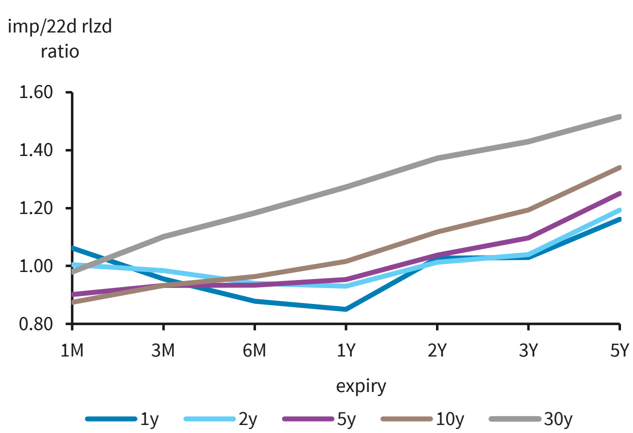


Source: Barclays Research

That said, the failure of rates to break the range is significant for vol traders. Implied to realized ratios are elevated in longer tenors, and even in shorter tenors (where ratios are closer to 1; Figure 3), one can make an argument that the recent realized volatility of the past few weeks is unlikely to repeat. There are emerging signs of agreement between the US and Iran. Even without one, the market's pricing of the Fed to be on hold or potentially hike is no longer being driven just by oil prices; inflation persistence and resilient labor markets have also contributed in recent weeks.

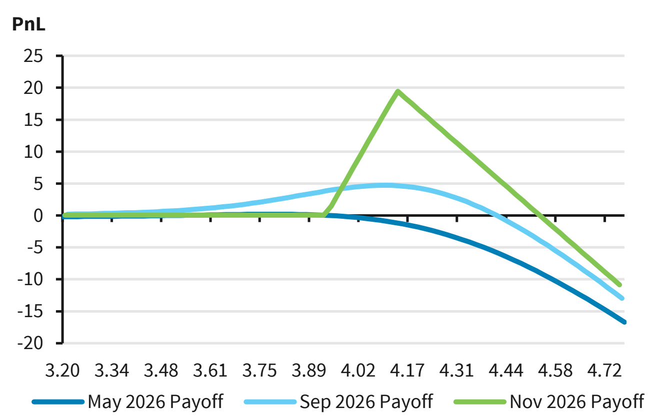
That said, we still think hikes remain unlikely, as recent inflation and growth data have been mixed, with signs of slowing consumption in the economy being offset by stronger fixed investment. It is also unclear whether fixed investment will continue to provide as strong an impulse to growth next year as it did in Q1 26. For these reasons, even if the Fed were to hike to stave off inflationary pressures, it is unlikely to do so aggressively; it is simply a different economic backdrop than in 2022.

FIGURE 3. Implied/realized ratios are high on the RHS, closer to 1 on the LHS



Source: Barclays Research

FIGURE 4. Payoff profile of 6m1y 1x1.5 payer spread



Source: Barclays Research

For the past several months, we have refrained from initiating trades that are short vol at high strikes (such as payer ladders and ratio spreads). Initially, this was because LHS volatility was too cheap, and after the Iran crisis began, we were concerned that the market was too anchored to a view that the Fed would not hike. But the situation is somewhat different now. LHS rates such as 6m2y are now significantly higher than spot SOFR rates, more than 15bp of hikes are priced in by end-2026, and oil prices and oil volatility are significantly off the highs. The option-implied probability of more than 100bp of hikes by end-2027 is still elevated, at around 25%. Even if the Fed were to hike, it would likely be a limited number of hikes and would likely be well telegraphed. We think it is now safer to fade the excessive hike probabilities priced into forwards, and recommend a 6m1y 1x1.5 payer spread.

A 6m1y ATM vs. ATM+20 1x1.5 payer spread offers an efficient way to position for a modest repricing higher in front-end rates in an environment where the Fed remains on hold but retains a tightening bias. The structure monetizes relatively rich hike probabilities to fund exposure to the more likely scenario of a contained selloff. Even in the recent selloff, the 1y rate got to 3.9%, and over the 2024 to early 2026 period, when spot rates were much higher, the 1y rate peaked at 4.3%, well below the breakeven level of the structure at 4.55%. The structure is cost-less at inception, with a maximum payoff of 20bp and approximately 3.6bp of carry over the next three months. Moreover, the trade has a short vol bias, allowing it to benefit from the roll-down or any other decrease in 6m1y implied volatility, which should further support the trade. The main risk to the trade is that inflation accelerates over the next six months to such an extent that the market prices in over 100bp worth of hikes into the forward curve. We do not think that this is very likely, given the economic backdrop.

Unwound trades

- *Take profit on 1y10y vs. 3y10y calendar spread, given that the 1y10y vs. 3y10y vol slope has steepened, and the trade has carried positively.*

- *Unwind 3m1y broken receiver fly because the structure has negative theta and the case for a near-term cut has weakened.*

- *Unwind 6mf 2s10s curve cap spread, given that the underlying options have expired.*

US Swap spreads

Market sentiment remain headline-driven around developments in the Middle East, swinging between hopes of a peace deal and the reopening of the Strait of Hormuz on the one hand, and renewed tensions on the other. Despite the uncertainty, broader markets have largely looked through the conflict. Oil prices have retraced back below $100/bbl and equity markets are pushing new highs. The risk-on tone has provided support for swap spreads, which have recovered to pre-war levels, though they are still tighter year to date (Figure 5).

Benign funding conditions a tailwind for front-end spreads

Front-end (2y) spreads have outperformed on the spread curve this year and did not experience a drawdown like longer-tenor spreads did. Increased leverage capacity following SLR relief has supported intermediation across cash and repo markets. Large GSIB balance sheets expanded by $1.3trn in Q1, including around $300bn in reverse repo and $100bn in Treasury trading inventories. Alongside the Fed's RMP purchases and seasonal decline in bill supply due to April tax flows, these have contributed to the general softness in repo rates.

Repo rates have declined to the bottom of the Fed's target range in recent weeks. Against this backdrop, the Fed dialed down the pace of RMP purchases to $10b/m. We expect it to reduce the pace to zero until September, when the Fed moves back to a steady state of $20bn/m to keep its balance sheet stable.

We would not rule out the risk of the Fed restarting QT if funding conditions remain soft and new liquidity regulations reduce demand for reserves (see here). Looking at the historical relationship (since 2019) between funding spreads and 2y spreads, we find that they are close to fair value at around -15bp. While an overshoot towards -10bp may be possible, we see limited upside in front-end spreads unless there is further softening in funding conditions. SOFR/FF spreads based on monthly futures contracts are pricing in a reversal from the high watermark in May funding conditions (Figure 7).

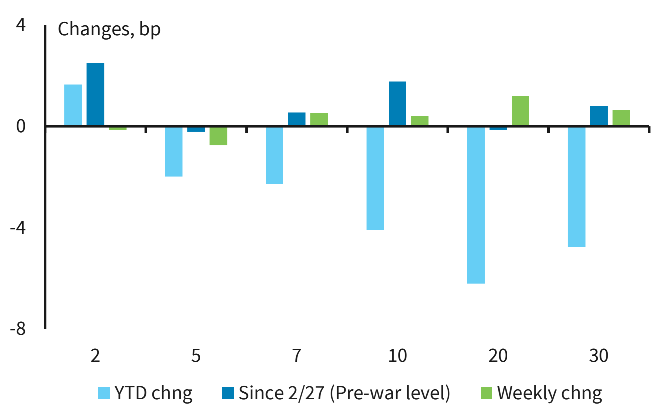
We believe there is further upside in belly/intermediate sector spreads and maintain our 2s7s beta-weighted spread curve steepener.

Long-end spread beta to equities

30y spreads have recovered notably from their March lows of around -85bp back towards the -70bp area, with the move supported by their beta to equities. However, we see risk skewed to the downside. Larger fiscal deficits stemming from weaker tariff revenues, higher defense spending and increased debt servicing costs should continue to weigh on long-end spreads.

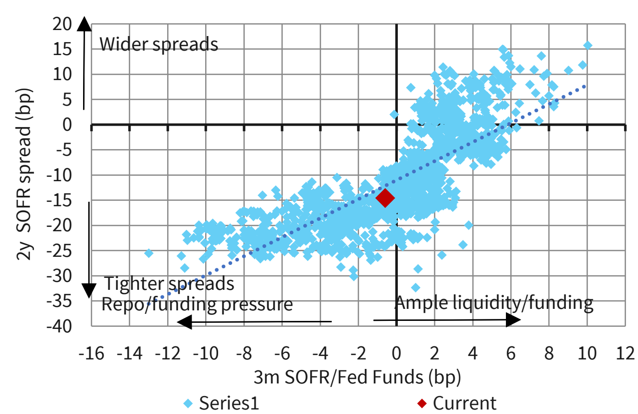
Our VA proxy is solidly in paying territory, reflecting the correlated rise in equities and rates. Convexity hedging flows from paying in swaps along with bearish expressions may be providing support for spreads despite broader fundamental headwinds. We expect these flows to moderate when the impetus from the equity move stabilizes (Figure 8).

FIGURE 5. **Swap spreads have recovered to pre-war levels**



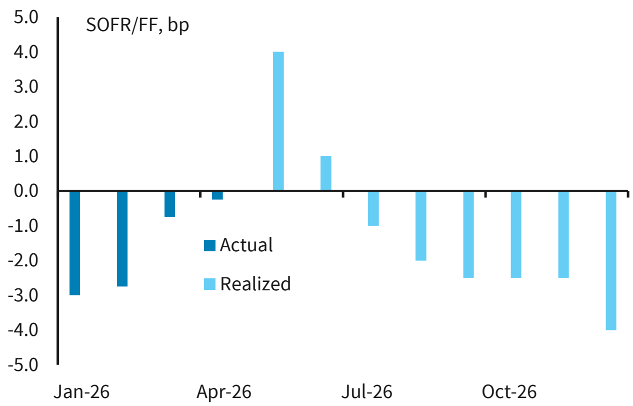
Source: Bloomberg, Barclays Research

FIGURE 6. **2y spreads are trading close to fair value**



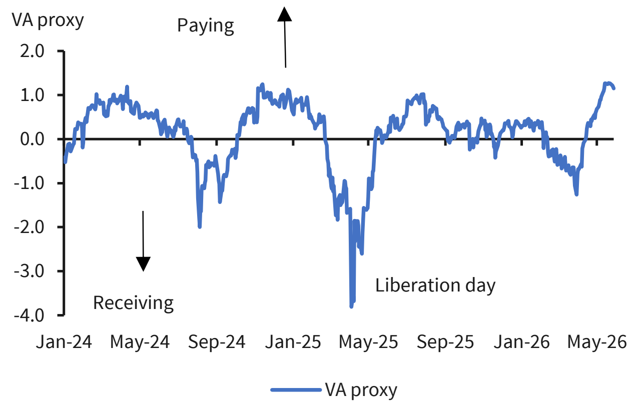
Source: Bloomberg, Barclays Research

FIGURE 7. Futures pricing reversal from high watermark in May funding conditions



Based on monthly SOFR and FF futures contracts
Source: Bloomberg, Barclays Research

FIGURE 8. VA proxy solidly in paying territory, providing support for 30y spreads



Source: Barclays Research

Euro Area: Rates Strategy

Close but no cigar

Even as a deal in the Gulf conflict remains elusive, EUR rates continue to drift with hope. We augment our recent analysis on interest rate risk on euro area banking books. We also decompose changes in 10y EUR rates and find, much like in 2022, inflation risk premium repricing has played a key role.

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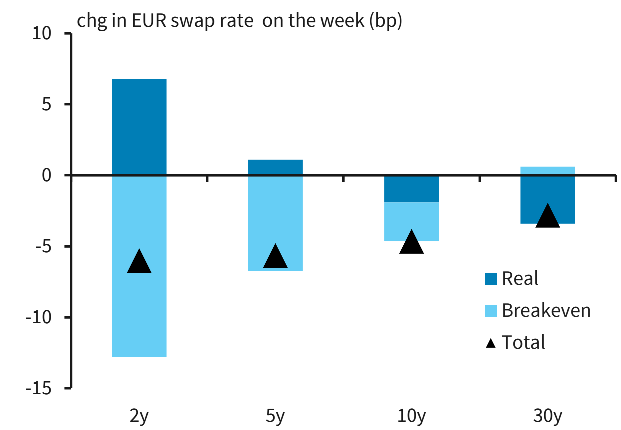
Close but no cigar. Oil prices and bond yields have been trending lower since mid-May, on constructive headlines about a potential US-Iran peace deal, though at the time of writing, a decisive breakthrough remains elusive. The move lower in oil will clearly be a welcome development for central banks; at the same time, it remains far too early to relax on inflation risks, with oil prices still >50% higher YTD. As we head into June central bank policy meetings, the evolution of the conflict and energy prices will likely be key in terms of shaping the messaging at these meetings.

In this regard, recent ECB commentary has been interesting. Executive Board member Schnabel's recent Reuters interview laid out her concerns with respect to inflationary risks: " *According to the European Commission survey, there is a sharp increase across sectors in the share of firms planning to raise their selling prices over the coming three months, faster than in 2022... in our Consumer Expectations Survey, inflation expectations have also increased over the medium term and there has been a shift in the distribution of inflation expectations to the right*". In this context, Schnabel said: " *Given the size and the persistence of the current shock, looking through is no longer an option in my view*... *Even if the war ended today, a lot of damage has already been done to energy infrastructure and global supply chains. So, even then, I believe that a monetary policy reaction would be needed*". The next release of the Consumer Expectations Survey cited by Schnabel is scheduled for 1 June: the release one month earlier had shown a worrisome increase in three-year ahead median inflation expectations (from 2.5% to 3.0%, Figure 2), so the question for the Governing Council will be whether this jump persists or intensifies.

Other ECB speakers at the hawkish end of the spectrum have voiced similar sentiments to Schnabel, for instance Wunsch's recent comments that " *at some point we will have to react... We are in the beginning of an inflation problem*", and Kocher's comments that " *Everything points to prices rising somewhat more sharply than was expected back in March... It's also clear that this increases the pressure to act on interest rates*". As for the relatively more dovish GC members, there has been no concerted pushback against the market close to fully pricing in a 25bp June hike. At the same time, more dovish speakers have emphasised the need to bear in mind downside growth risks (which were underlined by the weak euro area PMIs last week). In that respect, Vice President de Guindos argued this week that " *We have to take into consideration the impact on growth*". GC member Stournaras noted that " *the likeliest outcome is an interest rate hike in June*", but also emphasised that " *the response [to the shock] should be balanced... a careful adjustment of monetary policy toward a more restrictive direction is capable of limiting the intensity of secondary effects, without disproportionately affecting economic activity*".

Overall, the path of least resistance appears to be an 'insurance hike' in June as the ECB seeks to maintain its inflation-fighting credibility, with a fully data-dependent approach taken at subsequent meetings. Our economics team's base case remains two 25bp hikes, in June and September; from a market standpoint, we continue to think that pricing could shift to a range of one to two hikes in a sustained de-escalation scenario, versus risks of a more protracted hiking cycle in the tail scenario of major re-escalation.

FIGURE 1. EUR yields have pushed lower on the week



Source: Bloomberg, Barclays Research

FIGURE 2. The last CES print had showed a worrying jump in 3y-ahead median inflation expectations

Source: Bloomberg, ECB, Barclays Research

As mentioned above, a key focal point next week will be the Consumer Expectations Survey release scheduled for Monday, followed by May flash inflation for the euro area on Tuesday. With respect to US data, Friday's NFP will be the key release, preceded by ISM manufacturing on Monday, JOLTS on Tuesday, and ISM services on Wednesday. In terms of EGB auctions, Germany will hold a Schatz auction on Tuesday, followed by French and Spanish auctions on Thursday (see below for detailed discussion on the EGB supply outlook). In terms of sovereign rating reviews, S&P will review France this Friday, 29 May (A+, stable outlook), while Fitch will review Austria next Friday, 5 June (AA, stable outlook).

ECB rate hikes and euro area banks' IRRBB

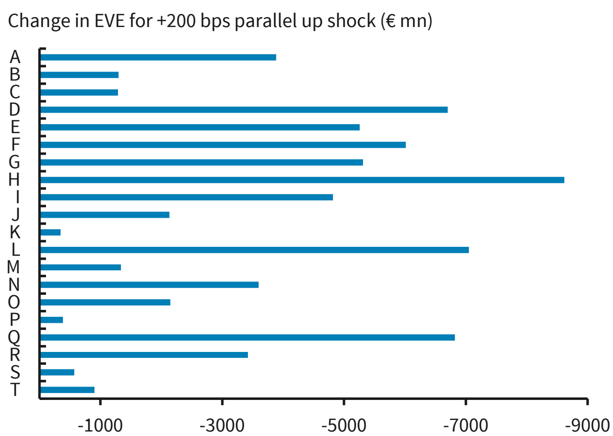
In a recent publication (Stuck in the Gulf), we discussed whether the EUR swap market should be wary of a 2022-style mortgage hedging wave, given the impending turn in the ECB's policy rate trajectory. The motivation for this analysis was to draw parallels to the ECB's previous rate cycle, when the need to hedge interest rate risk in euro area banking books (IRRBB) had left a significant and lasting impact on the 10-15y part of the EUR swap curve.

To recap, a bank's business model of accepting short-term deposits and offering long-term loans exposes it to interest rate risk. Metrics like duration gap, which measures the difference between the duration of assets and liabilities on a bank's balance sheet, capture this interest rate risk. Furthermore, since banks are in the business of maturity transformation, they generally run a positive duration gap (ie, longer-maturity assets relative to shorter-maturity deposits). In this set-up, under an increasing interest rate scenario (parallel shifts of the yield curve), assets would lose more value than liabilities, thus reducing the bank's economic value of equity (EVE). This is the opposite challenge to that faced by pension funds for example, as they run a negative duration gap, meaning shorter-maturity assets versus longer-maturity liabilities. So, an increasing interest rate environment is favourable for Dutch pension funds. Banks and pension funds can actively manage these duration gaps and mitigate risks through interest rate derivatives.

Is there a way to quantify this risk? The ECB has not written about the topic of IRRBB in euro area banks since November 2023 [4] and hence it is challenging to get a holistic perspective of where metrics like duration gaps, maturity gaps and the share of hedged versus unhedged risk lie.

However, individual bank Pillar 3 disclosures offer some useful insight. In their respective Pillar 3 disclosures, the European Banking Authority (EBA) asks banks to capture the change in EVE [5] under six supervisory shock scenarios: parallel up, parallel down, steepener, flattener, short rates up, and short rates down. This provides a useful guide to understand the sensitivity of EVE to rate shocks across institutions (as a share of Tier 1 or CET1) as well as over time [6].

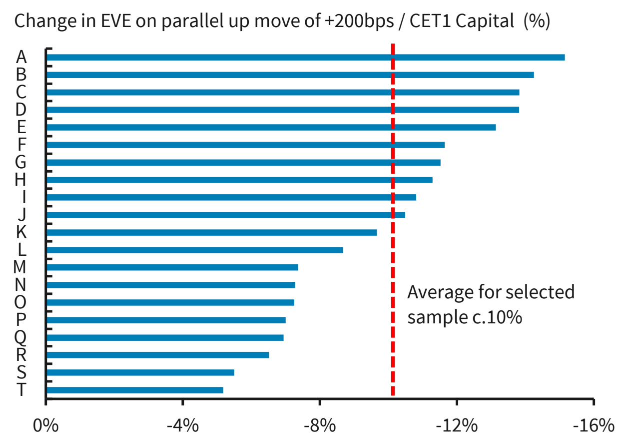
FIGURE 3. EVE sensitivity to parallel up shock across largest euro area banks



Note: As of 31-Dec-2025; The 20 banks, anonymously listed here, roughly amount to 50% of euro area banking system assets

Source: European Banking Authority, Bank Pillar 3 disclosures, Barclays Research

FIGURE 4. EVE losses are material when compared to capital, averaging c.10% of CET1



Note: EVE is as of 31-Dec-25, while CET1 is as of 30-Jun-25, due to differences in disclosure timelines between Pillar 3 and transparency reports. The 20 banks, anonymously listed here, roughly amount to 50% of euro area banking system assets

Source: European Banking Authority, Bank Pillar 3 disclosures, Barclays Research

In Figure 3 we show the interest rate risk exposure across a sample of large euro area banks (covering c.50% of banking system assets) under a +200bp parallel up shock scenario as of 31 December 2025. In absolute terms, the change in EVE varies significantly across institutions, reflecting differences in balance sheet sizes and the maturity composition of assets and liabilities. Scaling these changes by CET1 capital provides a more comparable metric across banks (Figure 4). The EVE decline for the sample ranges from 5% to 15% of CET1 capital, and the average for the sample is c.10% of CET1.

These numbers underscore that the positive duration gap and hence IRRBB are not insignificant and should potentially spur banks into action to increase their hedges should the probability of a large interest rate shock increase. However, for now, and given the nature of the

[4] See "Interest rate risk exposures and hedging of euro area banks' banking books", *Financial Stability Review*, ECB, May 2022, "Euro area interest rate swaps market and risk-sharing across sectors", *Financial Stability Review*, ECB, November 2022 and "Assessing risks from euro area banks' maturity transformation", Financial Stability Review, November 2023.

[5] Changes in banks' economic value of equity do not always translate into accounting losses, but they do shed light on banks' resilience to changes in interest rates over the long run

[6] The EBA has updated its data dashboard and now also captures some Pillar 3 data. However, the time-series available on the portal is only for the last few quarters. To look at EVE's sensitivity to rate shocks, one would need to extract individual Pillar 3 reports. However, some care is needed here as the supervisory shock scenarios have been updated. Back in 2021, EBA required banks to model EVE sensitivity to +/-100bp shock but the more recent sensitivities are to a +/-200bp shock.

shock facing the euro area (exogenous supply shock), the probability of a large upward interest rate shock on account of a protracted rate hike cycle remains a tail risk.

Bunds: A decomposition check

Prior to the onset of the Gulf conflict, our base case was for Bunds to trade in a 2.65-2.90% range. For a break of the 3% level, we had argued that a shift in the ECB's policy path towards rate hikes was a necessary condition, and the war provided that narrative shift.

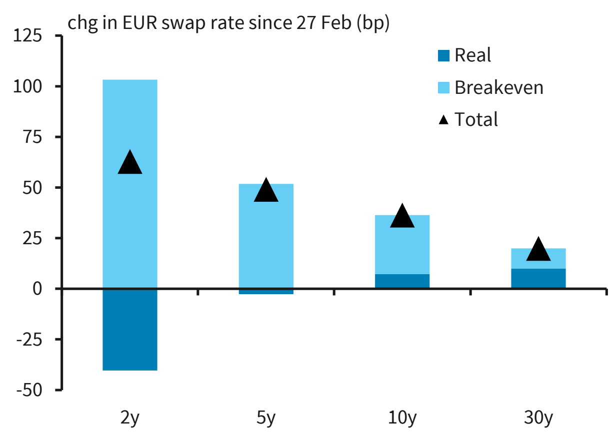
Here and now, EUR duration should continue to be driven by the conflict through its impact on energy prices and, by extension, on growth, inflation and the ECB's policy path. On a credible de-escalation, we could see Bunds settling back into its previous range. However, on a further escalation that calls for a protracted rate hike cycle (more than two hikes), Bunds would likely trade comfortably above 3%, with the probable range being 3.0-3.5%. Here and now, this right tail looks less likely, but it would ultimately be a function of the degree and quantum of inflation persistence versus growth weakness the ECB has to balance.

Beyond these domestic factors, exogenous factors also hold sway on Bunds. In a recent publication, our US colleagues warned against fading the recent cheapening in USTs. Should UST yields break higher, Bunds would get dragged along, but should outperform USTs, as Europe faces a negative terms of trade shock. Put differently, any bear-steepening or term-premium rebuild in Europe is only possible on account of exogenous factors, in our view. This would represent an imported tightening of financing conditions, aggravating the ECB's challenge.

Breaking down 10y EUR

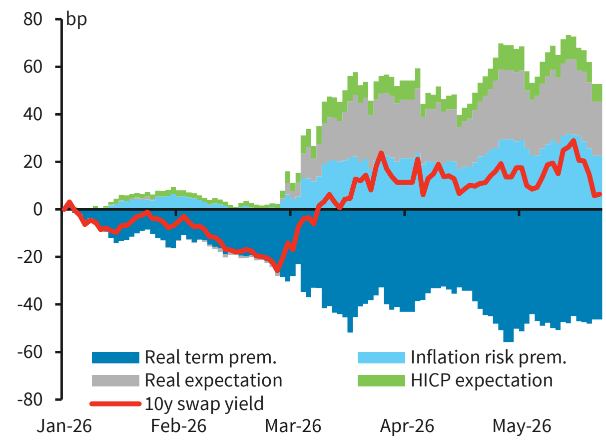
In Expectations and risk premiums, we had discussed a statistical approach to break down changes in 10y EUR swaps beyond just rate expectations and term premium into their real and inflation components. Figure 6 presents this decomposition from the start of the year with cumulative shifts in real and inflation expectations and term premium. What is evident here is that before the war, the rally in 10y EUR swaps was captured by the decline in real term premium, but other components were little changed. However, with the onset of the war, real expectations (policy tightening), inflation expectation and risk premium all increased and offset the further decline in real term premium.

FIGURE 5. Changes in EUR swap term structure since the start of the war, broken down into real and inflation changes



Source: Bloomberg, Barclays Research

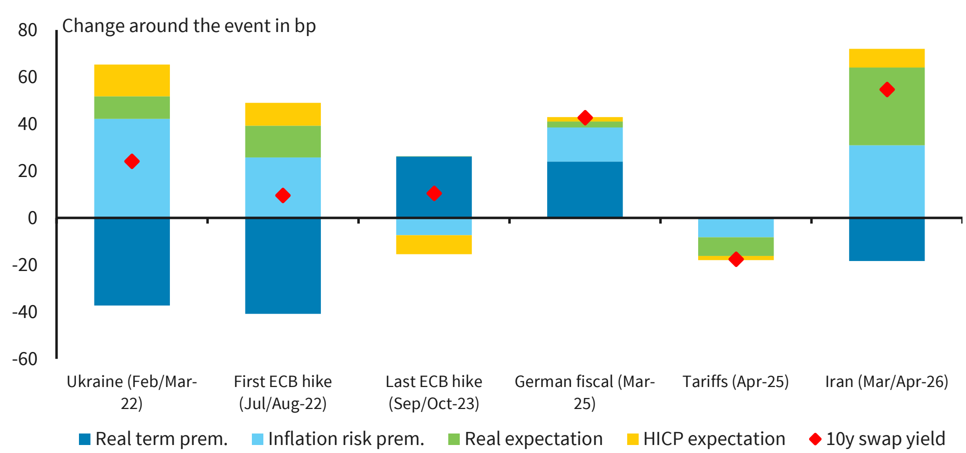
FIGURE 6. Decomposition of 10y EUR into real and inflation expectation and risk-premium components



See Expectations and risk premiums for methodology
Source: Bloomberg, Barclays Research

Figure 7 compares the changes in 10y EUR swap in the ongoing Gulf conflict with some previous episodes to compare how the various components have evolved. Some clear takeaways here would be: (i) There are clear parallels between the market reaction to the Ukraine war and the current conflict. Both exogenous negative supply shocks saw inflation risk premium increasing though the degree of shifts in real expectations are different (ii) the sell-off following the announcement of German fiscal in March 2025 was driven entirely by risk premium—both real and inflation—with little change in the expectations component, suggesting that the market adjusted the distribution without meaningfully changing its modal expectations.

FIGURE 7. Increase in inflation risk premium and real expectations has driven the recent increase in 10y EUR - similar to the initial days of the 2022 energy shock



See Expectations and risk premiums for methodology
Source: Bloomberg, Barclays Research

EGB supply: June cashflows decoded

This section is an excerpt from our June European sovereign supply monthly.

- As we reach the end of May, euro area sovereigns have already issued c.€760bn, equating to c.51% of our projected total for 2026 (c.3pp behind this point last year). In June, we project gross EGB supply of c.€132bn, c.€12bn lower m/m.

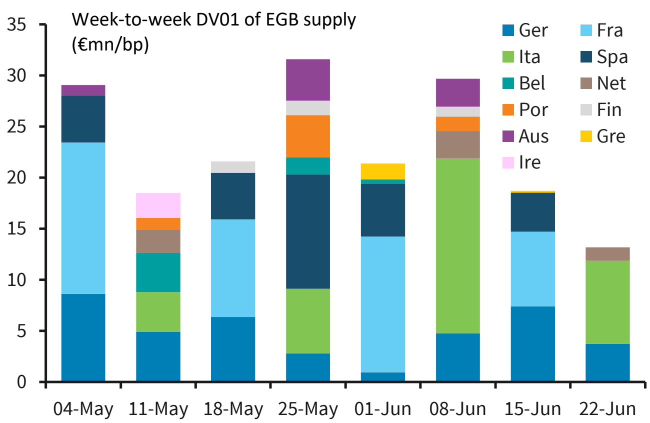
- In terms of syndications, Germany, Belgium, Ireland, Spain, Austria and Portugal placed syndications in May; on the other hand, Greece has not mandated a syndication this month, at the time of writing. We therefore pencil in a 5-7y deal from Greece in w/c 1 June (c.€2.5bn). We also pencil in a green BTP syndication for w/c 8 June (c.€7bn, we also do not rule out the possibility of a long-end syndicated tap). All in all, syndicated supply should total c.€9.5bn in June on our estimates, significantly below May's c.€37bn total. With respect to retail issuance, Italy will place a new BTP Italia in w/c 15 June.

- We expect the DV01 of gross EGB supply to average c.€21mn/bp over the next four weeks, significantly below the c.€25mn/bp total over the preceding four weeks. YTD, we estimate a weekly average DV01 of gross issuance of c.€26mn/bp.

- We project EGB redemptions totalling c.€52bn in June, decreasing sharply from c.€90bn in May. As a result, net EGB supply should accelerate from c.€54bn in May to c.€80bn in June.

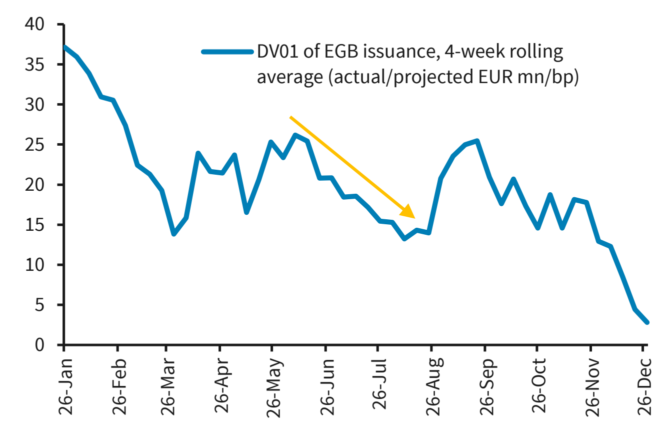
- Germany will pay redemptions totalling c.€19bn in June, with Italy paying a similar volume. France and Spain will pay no meaningful redemptions. As such, German, French, Italian and Spanish net issuance should total c.€7bn, c.€29bn, c.€30bn and c.€12bn, respectively. Regarding smaller issuers, Belgium will pay c.€14bn of redemptions, resulting in deeply negative Belgian net supply in June (c.-€11bn).

FIGURE 8. **Weekly DV01 of EGB issuance could stay elevated in the first half of June, before declining significantly in the second half**



Source: National Treasuries, Barclays Research

FIGURE 9. **The DV01 of issuance should steadily decelerate as summer progresses**



Source: National Treasuries, Barclays Research

Summary of our trade recommendations

We make no change to our portfolio of recommendations this week.

FIGURE 10. **Summary of our trade recommendations**

Open trades	Date entered	Entry	Target	Stop	Current	P&L	Publication in which recommended
Long 30y DSL vs Bunds	20-May-26	2.0	-10.0	10.0	2	0	*DSL-Bund: closing the gap*
Long belly of EUR2s5s10s fly	12-Mar-26	-10.5	-30.0	0.0	-15	5	*A crude awakening*
Recently closed trades	**Date entered/closed**	**Entry**	**Target**	**Stop**	**Close**	**P&L**	**Publication in which recommended**
Long Sep 2026 dated BoE vs short ECB	23-Apr-26/14-May-26	179	130	195	166	13	*On tenterhooks*

The history of Barclays Research investment recommendations can be found here. Market levels for open trades captured at 3.30pm GMT on 28 May 2026.
Source: Bloomberg, Barclays Research

Japan: Rates Strategy

May Japanese pension rebalancing estimate

Our model points to a shift from equities into bonds against a backdrop of JPY weakness/equity strength, as in April. JGB index extension is estimated at +2.05 months. There appears to be a shift back toward JGBs in pension management by trust banks.

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This week: Yields down as rise in inflation risk premium takes a breather

This week saw yields fall across the curve led by the superlong sector, reversing last week's sharp rise in the inflation risk premium, with the 30y sector slightly underperforming. At the start of the week, yields fell as buybacks took the upper hand amid easing concerns around the Middle East. Thereafter, flow drove yields lower in the superlong end, especially the 40y sector, ahead of Wednesday's 40y JGB auction, which had been widely expected to clear smoothly. After the auction produced decent results, in line with our expectations, the market traded in a range, led by flow, in the absence of any major catalysts. For the week as a whole, yields ended lower across the curve.

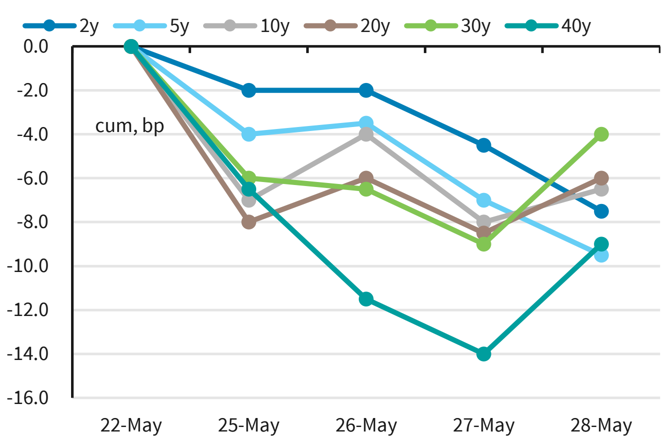
The government plans to issue "bridging JGBs" to fund growth investment. On the 28th, the Japan Growth Strategy Headquarters compiled a proposal centered on promoting growth and crisis-management investment, stating that it is necessary to consider a policy framework under which "bridging JGBs" would secure funding over multiple fiscal years and be managed separately from the main budget. Bridging JGBs are issued on the premise that future redemption resources can be secured, and are designed to cover temporary funding shortfalls. They were previously issued to bridge the funding gap until the consumption tax hike when the government's share of the basic pension contribution was raised from one-third to one-half. However, because bridging JGBs are excluded from calculations of the debt/GDP ratio, maintaining market confidence will be crucial. Meanwhile, the ruling coalition is accelerating discussions on increasing defense spending from FY27 onward, and some within an LDP parliamentary group appear to believe that most of the funding can be covered by future tax revenue gains (Nikkei, 28 May).

Decomposing yield movements since last Friday into risk neutral yield (the average of expected future policy rates) and term premium, we see that the latter fell across the curve on expectations for an end to the US-Iran conflict (Figure 2).

Pension fund rebalancing is another focus. Figure 3 shows asset price changes since the start of the month. With domestic and overseas equities posting substantial gains during the week, rebalancing demand into domestic bonds – the only major asset class to have turned lower – appears likely to strengthen on a relative basis.

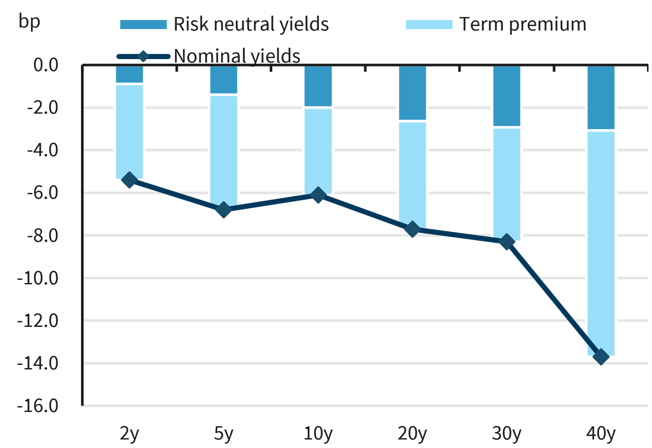
In assessing short-term drivers of JGB yield fluctuations, the relationship with price changes in other assets is also important. Figure 4 decomposes one week of JGB yield changes since last Wednesday into contributions from other asset-price moves such as FX and overseas rates. From last week through this Wednesday, even as yields rose on a weekly basis, overseas rates and domestic factors (residual) contributed to the increase in yen rates.

FIGURE 1. This week's JGB market



Source: Barclays Research

FIGURE 2. Decomposition of yield changes (term premium and risk-neutral yields)



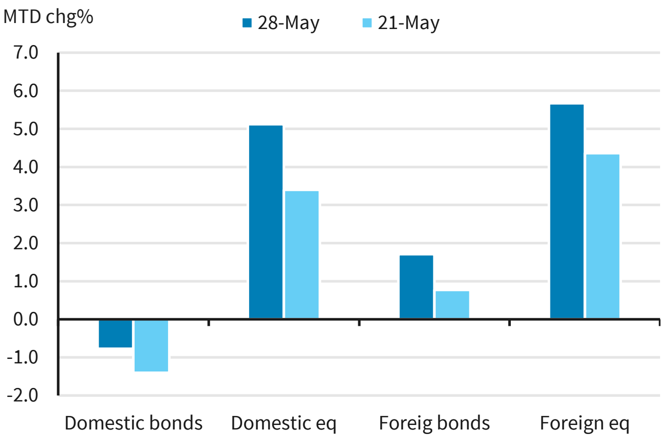
Source: Barclays Research (see Term premia dominance in superlongs)

Week ahead

The week ahead brings a 10y JGB auction on the 2nd, then a speech by BoJ Governor Ueda on the 3rd. We have long analyzed that the inflation risk premium, which reflects uncertainty around future inflation, has been a key driver of higher term premiums in the long and superlong sectors. The 10y JGB term premium, which surged last week on headlines related to supplementary budget compilation, has declined this week amid expectations for a US-Iran deal, suggesting some easing in the inflation risk premium. That said, reports from discussions at the Japan Growth Strategy Headquarters – such as the proposal to issue bridging JGBs to finance growth and crisis-management investment and to consider a separate multi-year funding framework (Nikkei, May 28) – suggest that the risk of higher term premiums driven by fiscal headlines is likely to persist. Moreover, with uncertainty rising over the prospects for an early US-Iran agreement, upward pressure on term premiums stemming from potential supply shocks also cannot be ruled out. The 10y auction on the 2nd will therefore serve as a key test of how investors are assessing these risks.

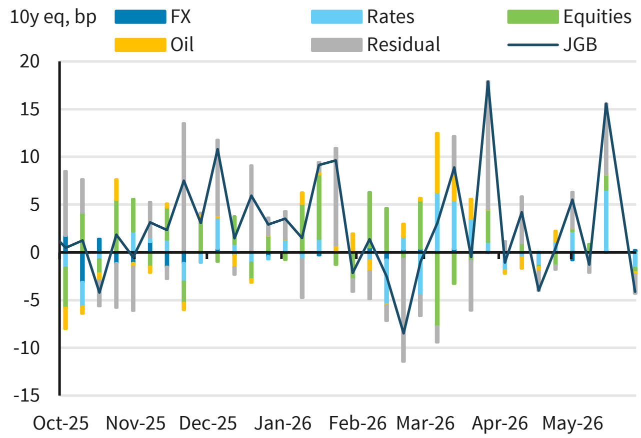
Governor Ueda's speech on the 3rd will also be a focus in grasping the BoJ's communication regarding this inflation risk premium. Deputy Governor Himino's comment on the 26th that "rising inflation concerns are pushing up long-term interest rates" (Nikkei, May 26) suggests that the BoJ likely recognizes that the inflation risk premium is contributing to higher long-end yields. While any remarks related to a potential rate hike at the BoJ's June meeting will naturally be one focal point, communication regarding longer-term inflation risks will also garner attention as a driver of long and superlong yield movements.

FIGURE 3. **Asset price changes**



Source: Barclays Research

FIGURE 4. **Decomposition of JGB yield changes over week since last Wednesday into contributions from other asset price moves**



Note: 10y equivalents based on DVO1 for each maturity.
Source: MoF, Bloomberg, Barclays Research (see Decomposition of JGB drivers using the yen-rates FFV model)

Recommendations

We recommend: 1) 1y1y/5y5y USDJPY xccy basis flatteners [7] in anticipation of USDJPY xccy basis receiving demand stemming from the US-Japan investment deal; 2) paying 1y1y EURJPY xccy basis as a carry trade [8]; 3) 2y2y 1x2 payer spread to position for gradual BoJ rate hikes [9]; and 4) a JGB ASW 10y/30y box [10], reflecting distortions in the JGB ASW curve.

May Japanese pension rebalancing estimate

This section in an extract from Japan Flow Update: May Japanese pension rebalancing estimate, 25 May 2026. Please refer to the original publication for details.

Our model points to a shift from equities into bonds against a backdrop of JPY weakness/equity strength, as in April. JGB index extension is estimated at +2.05 months. There appears to be a shift back toward JGBs in pension management by trust banks.

[7] Impact of Takaichi economic policies on JGB term premium, 23 October 2025.
[8] Xccy and Money Markets: H2 25 market outlook, 16 July 2025.
[9] Interest Rate Derivatives: Payer spread for carry amid stabilizing risk premia, 3 March 2026.
[10] Geopolitics-driven yen rates market, 6 March.

Global Rates Markets

Summary of views

A summary of our views on duration, the curve, swap spreads, inflation and volatility across the US, Europe, and Japan.

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United States

Duration

- Rates remain well above pre-war levels despite a recovery across most classes. We believe this reflects a shift in the market's view towards a more persistent inflation outlook. In addition, economic resilience has led to a reassessment of the expected path of the real policy rate beyond the cyclical horizon.
- We are neutral on duration. In the near term, progress on a resolution to the Iran war is likely to pull yields lower, but should the curve not steepen in the backdrop, it could provide an attractive entry point to pay far forward rates.

Curve/curvature

- We maintain our 5s30s Treasury curve-steepener recommendation, as the long end should capture the higher neutral rate as well as term premium as it relates to fiscal worsening.

Swap spreads

- We maintain our preference for belly spreads and recommend beta-weighted 2s7s spread curve steepeners.
- We maintain being long the 10s20s30s ASW fly as the 20y sector looks cheap and has lagged the move lower in vol.
- We see downside risk to longer-tenor spreads from fiscal slippage, which limits the scope for material widening.

Inflation

- We maintain energy-hedged longs in the TIIJan27 breakeven, which currently reflects a meaningful negative inflation risk premium versus what is implied by Barclays' CPI forecast despite increasing evidence of supply chain strains and near-term upside risks to other components (including food via higher fertilizer prices).
- We maintain shorting the 1y1y breakeven (TIIApr27/TIIApr28) given elevated implied ex-energy valuations despite little evidence of an acceleration in wage pressure and the background drag of shelter disinflation.

- We maintain being long 5y TIPS for more fundamental reasons despite elevated front-end TIPS volumes having stretched some forward breakeven valuations and tightened front-end iotas.

Volatility

- We initiate a 1x1.5 6m1y payer spread to benefit from options embedding high probabilities for aggressive hikes.
- We maintain short 2y1y vol vs long 2y10y vol given the vulnerability of the belly of the curve to a convexity repricing.
- We maintain our recommendation to be long bottom right forward vol through option triangles.

Money markets

- The reserve demand curve has flattened as bank intermediation capacity has expanded. Even though funding markets firmed this week, we still think this argues for the Fed to hold the balance sheet steady, at least for now.
- We expect the Fed to pause RMPs starting in mid-June until mid-September when it moves back to a steady state level of $20bn/m. However, we would not rule out it staying at zero for even longer.
- With RMPs potentially on hold, heavier T-bill issuance needs starting in July and the TGA approaching $1tn level, funding markets should be firmer this summer. W e expect net supply of T-bills to private investors of around $480bn for CY 2026.

Europe

Duration

- EUR: The ceasefire has brought EUR rates back from local highs, but the backdrop remains very uneasy for policy makers. Elevated energy prices and continued disruptions risk pipeline pressures; hence, the ECB is unlikely to lower its guard. A further decline in energy prices is a necessary condition for the rally in EUR rates to continue.
- UK: Political uncertainty is escalating with the PM now facing resignations and challenges. Gilts will now trade with increasing idiosyncratic risk premium.

Curve/curvature

- EUR: In the near term, the EUR curve is likely to trade as a function of energy price developments and the consequent spillovers to ECB pricing and rate vol. A further spike in energy prices could imply further long-end curve flattening; conversely, if the energy shock were to subside, the EUR long-end curve would likely re-steepen quickly. Over the longer term, Dutch transitions and fiscal risks should still be possible drivers of curve steepening. We maintain a long in the belly of EUR2s5s10s.
- UK: Gilt 2/10s steepening is increasingly being seen as a likely path of least resistance. But it remains fundamentally a monetary policy-driven curve trade. Retain selling 10y Gilt vs wings in Gilt 5/10/30s.

EGB/swap spreads

- EGBs: Spreads have decompressed on the energy shock as investors exited carry trades, although they remain tight versus previous years. Fiscal pressures stemming from elevated energy prices and defence spending could pose headwinds, though measures announced in response to the energy shock have been relatively contained so far. From a political standpoint, a narrative of stability has been a supporting factor for EGBs in recent months and quarters (with French political noise having also gone quiet since February). With French, Italian and Spanish elections all scheduled next year, however, a risk would be that cracks start to appear in this narrative, especially given additional political pressures stemming from the cost of the energy shock. We are long 30y DSLs vs Bunds given relative fiscal/issuance profiles.

- UK: The gilt remit was marginally higher than expected, but supply of longs remains restricted over FY26-27. Gilt ASW remains vulnerable to any negative effect on the public finances from the energy shock.

Volatility

- EUR: Maintain a EUR 1y1y 1x1x1 payer ladder to fade excess hike probabilities that are now being priced by the market.

Japan

Duration

- The yen rates market is likely to continue facing upward pressure from inflation risk premium due to concerns around fiscal discipline and behind-the-curve risk for the BoJ. 3% long-term yields are broadly consistent with nominal growth expectations but we see two-way risks to our JGB yield forecasts with any easing of Middle East concerns on the downside and escalation of fiscal concerns on the upside.

- 10y BEI is likely to remain high, driven by elevated inflation, wage increases and inflation risk premium. The risks to our outlook are an upside surprise to scheduled wage increases, prolonged JPY weakness and increased concerns on fiscal discipline.

Curve/curvature

- We expect belly of the curve to underperform due to inflation risk premium while the superlong sector, which has already priced in significant term premium, should be better supported. Front-end yields should continue to rise in tandem with the expected BoJ hikes.

- We expect rates in the JPY money market to rise further, with additional BoJ hikes over the coming years. In the term market, repo rates have risen, while bills remain rich.

Volatility

- We maintain a 2y2y 1x2 payer spread to position for rates moving higher, but with greater certainty about the terminal rate.

Forecasts

Global bond yield forecasts

Our latest bond yield forecasts for the US, the euro area, the UK and Japan.

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FIGURE 1. **Global bond yield forecasts**

US Treasuries

%	2y	5y	10y	30y	10y BE
Q226	3.80	3.95	4.30	4.90	2.35
Q326	3.75	3.90	4.25	4.90	2.35
Q426	3.65	3.85	4.25	4.90	2.35
Q127	3.65	3.85	4.25	4.90	2.35

US swap spreads (vs SOFR)

bp	2y	5y	10y	30y
Q226	-15	-25	-40	-70
Q326	-15	-20	-35	-70
Q426	-15	-20	-35	-70
Q127	-15	-20	-35	-70

Euro government (Germany) bond yield

%	2y	5y	10y	30y	10y BE
Q226	2.75	2.75	3.05	3.50	2.30
Q326	2.75	2.75	3.05	3.50	2.30
Q426	2.75	2.75	3.05	3.50	2.30
Q127	2.75	2.75	3.05	3.50	2.30

Euro area swap spreads (vs ESTR)

bp	2y	5y	10y	30y
Q226	-10	-15	-20	-50
Q326	-10	-15	-20	-50
Q426	-10	-15	-20	-40
Q127	-15	-20	-25	-40

UK government

%	2y	5y	10y	30y	10y BE
Q226	4.30	4.35	4.85	5.50	3.50
Q326	4.35	4.45	4.90	5.60	3.50
Q426	4.40	4.50	5.00	5.65	3.60
Q127	4.40	4.55	5.10	5.65	3.60

UK swap spreads (OIS ASW)

bp	2y	5y	10y	30y
Q226	-20	-30	-65	-75
Q326	-20	-30	-65	-75
Q426	-20	-30	-65	-75
Q127	-20	-30	-65	-75

Japan government

%	2y	5y	10y	30y	10y BE
Q226	1.50	2.00	2.70	4.00	2.30
Q326	1.60	2.10	2.80	4.05	2.30
Q426	1.70	2.20	2.90	4.05	2.30
Q127	1.75	2.30	3.00	4.05	2.30

Japan swap spreads (TONA OIS)

bp	2y	5y	10y	30y
Q226	-5	-5	-20	-55
Q326	-5	-10	-20	-60
Q426	-5	-10	-20	-60
Q127	-5	-10	-20	-60

Source: Barclays Research

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Analyst Certifications

Analyst Certifications pertaining to COVER

We, Anshul Pradhan, Rohan Khanna and Shinichiro Kadota, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

Analyst Certifications pertaining to United States: Interest Rates: Hope springs eternal

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Analyst Certifications pertaining to Derivatives Strategy: Back in the range, but for how long?

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